

ABANS FINANCE PLC
FINANCIAL STATEMENTS
31 MARCH 2020

APAG/PML/DM

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF ABANS FINANCE PLC**

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Abans Finance PLC ("the Company"), which comprise the statement of financial position as at 31 March 2020, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2020, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSS). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

(Contd...2/)

Key audit matter	How our audit addressed the key audit matter
Allowance for impairment of loans & leases: Our audit considered impairment for loans and Leases as a key audit matter. Significant judgments and assumptions were used by the management to determine the impairment allowance and complex calculations were involved in its estimation. Probable impacts of COVID -19 outbreak on the economically impacted customers and related government relief measures on the key assumptions, the higher level of estimation uncertainty involved, and materiality of the amounts reported in the Company's financial statements, underpinned our basis for considering it as a Key Audit Matter. As at 31 March 2020, loans & advances and receivables from lease & hire purchase (net of impairment) amounted to Rs. 1,920 Million (Note 20) and Rs. 5,854 Million (Note 21) respectively net of total allowance for impairment of LKR 957.6 Million (Note 20.1 and 21.1). These collectively contributed 86% to the Company's total assets. The allowance for impairment (both specific and collective) of these financial assets is estimated by management. Assumptions used by management in this calculation are inherently judgmental. Note 40.4.1 (e) to the financial statements describes the sensitivity of key assumptions.	To assess the reasonableness of the allowance for impairment, our audit procedures (among others) were design to obtain sufficient and appropriate audit evidences, included the following: - We evaluated the design and operating effectiveness of key internal controls over estimation of impairment for loans and leases, which included assessing the level of oversight, review and approval of impairment policies by the Board Audit Committee and management. - We test - checked the underlying calculations and data used in such calculations on a sample basis; - In addition to the above, focused procedures were performed as follows: <i>For those individually assessed for impairment:</i> • we assessed the main criteria used by the management for determining whether an impairment event had occurred • where impairment indicators existed, we assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held. • we compared the actual recoveries against previously estimated amounts of future recoveries. • we also assessed the impact of overarching economic condition in Sri Lanka and government relief package on future cash flows. <i>For those collectively assessed for impairment:</i> • we tested the completeness of the underlying information used in the impairment calculations by agreeing details to the source documents and information in IT system. • We also considered the reasonableness of macro-economic factors used by comparing them with publicly available data and information sources. Our considerations included assessing the appropriateness of the weightages assigned to possible economic scenarios. - We assessed the adequacy of the related financial statement disclosures as set out in note(s) 20 and 21.

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Key audit matter	How our audit addressed the key audit matter
Management's use of significant judgements relating to the impacts of the evolving COVID-19 pandemic on the Company Management has assessed the impact of the evolving COVID-19 pandemic on its business and financial statements of the Company as disclosed in Note 2.10. We considered such management's assessment in the wake of the evolving COVID-19 pandemic as a key audit matter, since it involved the use of significant management judgments and estimates considering future events, circumstances and impacts on cash flows, based on available information. The nature of the significant assumptions involved, are disclosed in Note 2.10 to the financial statements.	Our audit procedures included the following; - We gained an understanding of significant judgements used by the management related to the impact of the COVID-19 pandemic on the business of the Company. - We obtained an understanding of the procedures adopted by the management to manage and mitigate the prevailing business interruption which are disclosed in note 2.10. - We evaluated the sensitivity of the projected available funding by considering assumed scenarios together with reasonable changes to the key assumptions. - We inspected the facility agreements for the Company's other borrowed funds and assessed the Company's compliance with the covenants in understanding the availability of adequate funding. - We reviewed the adequacy of the disclosures made in Notes 2.10, 41.2, 41.4.1, 41.4.2, 41.5, 41.6, 41.6.3.1, and 42.1 in the financial statements

Other information included in the 2020 Annual Report

Other information consists of the information included in the Company's 2020 Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Company's 2020 Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does-not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

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Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

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We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.



26 June 2020
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2020

	Notes	2020 Rs.	2019 Rs.
Income	6	2,037,875,523	1,978,548,890
Interest Income	6.1	1,838,845,339	1,820,102,486
Interest Expense	6.2	(876,732,041)	(860,326,072)
Net Interest Income		<u>962,113,298</u>	<u>959,776,414</u>
Fee and Commission Income	7.1	185,760,201	144,729,403
Fee and Commission Expense	7.2	(13,633,994)	(74,074,243)
Net Fee and Commission Income		<u>172,126,207</u>	<u>70,655,160</u>
Net Gain/(Loss) from Trading	8	240,800	206,400
Other Operating Income (net)	9	13,029,183	13,510,601
Total Operating Income		<u>1,147,509,488</u>	<u>1,044,148,575</u>
Credit Loss Expense on Financial Assets and Other Losses	10	(333,253,807)	(301,980,973)
Net Operating Income		<u>814,255,681</u>	<u>742,167,602</u>
Operating Expenses			
Personnel Costs	11	(269,968,327)	(239,637,004)
Depreciation & Amortization	12	(68,916,552)	(26,955,230)
Other Operating Expenses	13	(239,636,409)	(294,413,965)
Operating Profit before Taxes on Financial Services		<u>235,734,393</u>	<u>181,161,403</u>
Taxes on Financial Services	14	(81,785,541)	(70,281,850)
Profit before Taxation from Operations		<u>153,948,852</u>	<u>110,879,553</u>
Provision for Income Taxation	15.1	(50,521,758)	(87,158,230)
Profit for the Year		<u>103,427,094</u>	<u>23,721,323</u>
Other Comprehensive Income (OCI)			
Items that will not be reclassified to profit or loss			
Actuarial Gains/(Losses) on Defined Benefit Plan	36.1	(235,217)	3,316,624
Deferred Tax Effect of above	15.1	65,861	(928,655)
		<u>(169,356)</u>	<u>2,387,969</u>
Other Comprehensive Profit/(Loss) for the Year, Net of Tax		<u>(169,356)</u>	<u>2,387,969</u>
Total Comprehensive Income for the Year		<u>103,257,738</u>	<u>26,109,292</u>
Earnings Per Share : Basic / Diluted (Rs.)	16	<u>1.55</u>	<u>0.36</u>

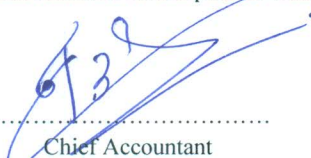
Accounting Policies and Notes from pages 10 to 79 form an integral part of these Financial Statements.

STATEMENT OF FINANCIAL POSITION

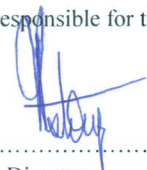
As at 31 March 2020

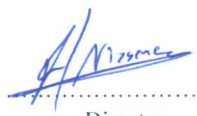
	Notes	2020 Rs.	2019 Rs.
Assets			
Cash and Bank Balances	17	146,941,688	263,517,684
Placement With Banks	18	204,354,154	249,659,017
Repurchase Agreements	19	279,143,141	281,537,224
Loans and Advances	20	1,920,095,538	2,127,780,588
Lease Rentals Receivable & Stock out on Hire	21	5,854,327,613	5,261,624,352
Equity Instruments at Fair Value through OCI	22	80,400	80,400
Debt Instruments at Amortised Cost	23	225,421,143	235,914,339
Other Financial Assets	24	96,487,549	171,436,746
Real Estate Stock	25	39,313,213	50,793,213
Other Non Financial Assets	26	63,953,134	64,153,395
Property, Plant & Equipment	28	70,332,907	85,287,696
Intangible Assets	27	29,339,420	32,758,835
Right-of- use Assets	29	81,250,333	-
Deferred Tax Assets	30	45,073,647	35,767,246
Total Assets		<u>9,056,113,880</u>	<u>8,860,310,735</u>
Liabilities			
Due to Banks	31	809,672,688	511,760,291
Due to Customers	32	5,148,142,044	5,792,966,524
Other Borrowed Funds	33	649,837,356	420,593,845
Other Financial Liabilities	34	720,063,470	555,894,435
Other Non Financial Liabilities	35	23,791,226	18,741,949
Current Tax Liabilities		47,853,948	8,822,247
Retirement Benefit Liability	36	19,435,147	17,471,181
Total Liabilities		<u>7,418,795,879</u>	<u>7,326,250,472</u>
Shareholders' Funds			
Stated Capital	37	1,121,412,955	1,121,412,955
Statutory Reserve Fund	38.2	133,669,250	112,983,832
Retained Earnings	38.1	382,235,796	299,663,476
Total Shareholders' Funds		<u>1,637,318,001</u>	<u>1,534,060,263</u>
Total Liabilities and Shareholders' Funds		<u>9,056,113,880</u>	<u>8,860,310,735</u>
Commitments and Contingencies	43	<u>-</u>	<u>119,300,467</u>

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.


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Chief Accountant

The Board of Directors is responsible for the Financial Statements. Signed for and on behalf of the Board by,


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Director


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Director

Accounting Policies and Notes from pages 10 to 79 form an integral part of these Financial Statements.



STATEMENT OF CHANGES IN EQUITY

As at 31 March 2020

	Stated Capital Rs.	Statutory Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 31 March 2018	1,121,412,955	108,239,567	337,975,406	1,567,627,927
Impact of adopting SLFRS 09 as at 01 April 2018	-	-	(59,676,957)	(59,676,957)
Restated Balance under SLFRS 09 as at 01 April 2018	1,121,412,955	108,239,567	278,298,449	1,507,950,970
Net Profit for the year	-	-	23,721,323	23,721,323
Other Comprehensive Income net of tax	-	-	2,387,969	2,387,969
Transfer to Statutory Reserve Fund	-	4,744,265	(4,744,265)	-
Balance as at 31 March 2019	1,121,412,955	112,983,832	299,663,476	1,534,060,263
Net Profit for the year			103,427,094	103,427,094
Other Comprehensive Income net of tax			(169,356)	(169,356)
Transfer to Statutory Reserve Fund		20,685,418	(20,685,418)	-
Balance as at 31 March 2020	<u>1,121,412,955</u>	<u>133,669,250</u>	<u>382,235,796</u>	<u>1,637,318,001</u>

Accounting Policies and Notes from pages 10 to 79 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 March 2020

	Notes	2020 Rs.	2019 Rs.
Cash Flows From / (Used in) Operating Activities			
Profit before Income Tax Expense		153,948,852	110,879,553
Adjustments for			
Depreciation	28.2	21,463,911	23,209,418
Amortization of Intangible Assets	27	4,650,912	3,745,812
Amortization of Right to use assets	29.1	42,801,730	
Impairment Provision	10	333,253,807	301,980,973
Loss/(Profit) on Disposal of Property & Equipment	13	163,923	-
Provision/(Reversal) for Defined Benefit Plans	11	5,489,724	5,242,795
Dividend Received		(240,800)	(206,400)
Operating Profit before Working Capital Changes		561,532,059	444,852,152
(Increase)/Decrease in Real Estate Stock		11,480,000	7,256,462
(Increase)/Decrease in Loans and Advances		116,043,630	278,507,298
(Increase)/Decrease in Lease Rentals Receivable & Stock out on hire		(664,659,923)	(975,963,336)
(Increase)/Decrease in Other Financial Assets		(103,755,859)	(164,097,576)
(Increase)/Decrease in Other Non Financial Assets		200,261	10,384,965
Increase/(Decrease) in Amounts Due to Customers		(644,824,481)	(822,192,842)
Increase/(Decrease) in Other Financial Liabilities		83,636,057	30,615,459
Increase/(Decrease) in Other Non Financial Liabilities		5,049,277	6,677,912
Cash Generated from Operations		(635,298,979)	(1,183,959,506)
Retirement Benefit Liabilities Paid	36	(3,760,975)	(3,367,710)
Taxes Paid		(20,730,598)	(19,815,156)
Net Cash From/(Used in) Operating Activities		(659,790,552)	(1,207,142,372)
Cash Flows from / (Used in) Investing Activities			
Acquisition of Property, Plant & Equipment	28	(6,969,045)	(18,855,254)
Acquisition of Intangible Assets	27	(1,231,497)	(15,406,297)
Proceeds from Sales of Property, Plant & Equipment		296,000	-
Cash Flow from/(Used in) Fixed Deposits		(5,075,085)	286,034,476
Sale/(Purchase) of Debt Instruments at Amortised Cost		214,384,518	3,715,796
Dividend Received		240,800	206,400
Net Cash Flows from/(Used in) Investing Activities		201,645,692	255,695,121
Cash Flows from / (Used in) Financing Activities			
Cash Inflow from Long Term Bank Borrowings	31.2	755,000,000	445,000,000
Cash Outflow from Long Term Bank Borrowings	31.2	(603,022,906)	(271,383,333)
Cash Inflow from Other Borrowings	33.2	536,984,138	420,593,845
Cash outflow from Other Borrowings	33.2	(307,740,627)	-
Net Cash Flow from Issue of Shares		-	-
Dividend Paid		-	-
Payment of Capital portion of Lease Liabilities		(34,505,473)	
Net Cash Flows from/(Used in) Financing Activities		346,715,132	594,210,512
Net Increase in Cash and Cash Equivalents		(111,429,728)	(357,236,739)
Cash and Cash Equivalents at the beginning of the year		651,500,973	1,008,737,712
Cash and Cash Equivalents at the end of the year		540,071,245	651,500,973

Accounting Policies and Notes from pages 10 to 79 form an integral part of these Financial Statements.

1. CORPORATE INFORMATION

1.1 General

Abans Finance PLC is domiciled, public limited liability company incorporated in Sri Lanka on 08 April 2005 under the Companies Act No. 17 of 1982, The Company was reregistered under the Companies Act No.7 of 2007 on 15 June 2009. It is a Licensed Finance Company registered under the Finance Business Act No.42 of 2011. The Company was listed on the Colombo Stock Exchange in 2011.

The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

1.2 Principal Activities and Nature of Operations

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of saving Deposits, Providing Finance Leases, Hire Purchase, Mortgage Loans, Personal Loans and Other Credit Facilities.

1.3 Parent Enterprise and Ultimate Parent Enterprise

The Company's parent company is Abans PLC and the ultimate parent company is Abans International (Pvt) Limited which are incorporated in Sri Lanka

1.4 Approval of Financial Statements by Directors

The Financial Statements of Abans Finance PLC for the year ended 31 March 2020 was authorized for issue in accordance with a resolution of the Board of Directors on 26 June 2020.

1.5 Directors' Responsibility Statement

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").

2. BASIS OF PREPARATION**2.1 Statement of Compliance**

The Financial Statements of the Company (Statement of Financial Position and Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2020 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of these Financial Statements is also in compliance with the requirements of Finance Business Act No 42 of 2011, Listing Rules of the Colombo Stock Exchange and the CBSL guidelines.

2.2 Basis of Measurement

The Financial Statements of the Company have been prepared on a historical cost basis, except for the following items in the Statement of Financial Position.

- Financial Assets at fair value through other comprehensive income (applicable from 1 January 2018) at fair value (Note 22)
- Liabilities for defined benefit obligations are recognized at the present value of the defined benefit obligation less the fair value of the plan assets (Note 36)

2.3 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees (Rs.), which is the currency of the primary economic environment in which Abans Finance PLC operates. The Financial information presented in Sri Lankan Rupees has been rounded to the nearest Rupee except where otherwise indicated as permitted by the Sri Lanka Accounting Standard LKAS 01 on "Presentation of Financial Statements". There was no change in the Company's presentation and functional currency during the year under review.

2.4 Presentation of Financial Statements

The assets and liabilities of the Company presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (noncurrent) is presented in Note 42.

2.5 Materiality and Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

2.6 Comparative Information

The comparative information is re-classified whenever necessary to conform to the current year's presentation.

However, the comparative information has not been restated due to adoption of SLFRS16, as explained in Note 3. except "commitments & contingencies" the details of which are given in Note 43 to the Financial Statements.

2.7 Statement of Cash Flow

The cash flow statement has been prepared by using the indirect method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby operating, investing and financial activities have been separately recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months), net of unfavourable bank balances and securities purchased under repurchase agreement (less than three months).

2.8 Events After the Reporting Date

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

No circumstances have arisen since the reporting date, which would require adjustments to, or disclosure in the financial statements, other than those disclosed in Note 46 to the Financial Statements.

2.9 Significant Accounting Judgements, Estimates and Assumptions

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

a) Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken in to consideration in the assumptions when they occur.

I. Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

II. Defined Benefit Plans

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 36.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company. The sensitivity of assumptions used in actuarial valuations are set out in Note 36.5 to the Financial Statements.

III. Impairment losses on Loans and Advances (Finance Leases, Hire Purchases, Mortgage Loans, Revolving Loans and Business/Personal Loans)

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates driven by a number of factors, changes which can result in different levels of allowances.

Accordingly, the Company reviews its individually significant loans and advances at each financial reporting date to assess whether an impairment loss should be recorded in the income statement. In particular, management's judgment was required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates were based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics.

As per SLFRS 09, the Company's expected credit loss (ECL) calculations are output of complex models with a number of underlying assumptions regarding the choice of variable inputs and their independencies. The elements of the ECL models that are considered accounting judgements and estimates include.

- The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime expected credit loss (LTECL) basis and the qualitative assessment
- The segmentation of financial assets when their fair values when their ECL is assessed on a collective basis.
- Development of ECLs, models, including the various formulas and the choice of inputs
Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on probability of default (PDs), Exposure at default (EADs) and loss given default (LGDs).
- Selection of forward –looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

It is the Company's policy to regularly review its models in the context of actual loss experience and adjust whenever necessary.

IV. Fair Value of Financial Instruments

The determination of fair value of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instrument is described in Note 40 to the Financial Statements. The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is also given in Note 40.1 to the Financial Statements.

V. Financial Assets and Financial Liabilities Classification

The Company's accounting policies provide scope for assets and liabilities to be classified, at inception in to different accounting categories. The classification of financial instrument is given in Note 39 "Analysis of Financial Instruments by Measurement Basis".

VI. Useful life of Property, Plant and Equipment and Intangible Assets

The Company reviews the assets' residual values, useful lives and methods of depreciation and amortization of Property, Plant, Equipment and Intangible Assets at each reporting date. Judgment by the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

VII. Taxation

The Company is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The Company has adopted the requirements of the New Inland Revenue Act 24 of 2017 which was effective from 1 April 2018 and deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

Further, deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

VIII. Provisions, Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Refer Note 43 for more details on Commitments and Contingencies.

2.10 The Impact of COVID 19

The sudden shock arisen from the outbreak of the COVID - 19 globally since January 2020 caused massive economic disruption leading to uncertainty in the whole world. Sri Lanka as a country exposed to this risk little late in March 2020 and as an immediate precautionary measure the Government imposed island wide curfew. Since no access to office was feasible the Company immediately planned to 'work from home' and facilitated the key management personnel and the key required personnel to work from home. The subsequent announcement by the Government that Banks and Non-Bank Financial Institutions are an essential Service Provider led the Company to operate with critical functions to ensure uninterrupted service to its valued customers.

To ensure the timely payment of Fixed Deposit Interest, the management sought assistance from the Company bankers and provided an uninterrupted service during the curfew period.

Liquidity was a major concern for many of the small and medium scale companies and daily monitoring of cash flow requirement was immediately started. All possible cost reduction measures were initiated to secure available liquid assets. The Company temporarily halted the new lending and focused on recovery of rentals and other dues. The Recovery staff as well as the Marketing staff were assigned with a recovery target to ensure a smooth inflow of cash flows. All these timely measures were key to maintain a healthy liquidity position even during the hard time of outbreak.

Meantime the Central bank of Sri Lanka issued circular No.04 and 05 of 2020 on debt moratorium which caused direct impact to rental collection of the Company. The Company established procedures to ensure all moratorium requests are properly collected and attended individually to ensure the Covid – 19 impacted customers are given the required relief. A separate communication channel via mail was established and a team was set up to support the customers to send the requests. However, the CBSL announcement of Covid - 19 moratorium and the Government decision of country lock down is likely to have negative consequences on the Company's performance and the liquidity position.

The Company has assessed the probable impact stemming from Covid – 19 outbreak and the key assessments are listed below.

- Based on the available information and management's best judgement, it is determined the appropriateness of the Going concern assumptions in preparing Financial Statements for the year ended 31 March 2020.
- Despite the challenging environment of having difficulties in collecting the company dues and the difficulties in getting funding lines from banks and other financial institutions, the Company was able to maintain a stable liquidity position and safeguard the interest of the stakeholders.
- The unutilized Overdraft facilities, the available excess investment and already negotiated funding lines and were used as a cushion to absorb any sudden liquidity shocks.
- A more prudent cost control mechanism was in place which ensured an effective cost structure in the Company.

There is a considerable degree of judgement involved in making the above assessments. The underline assumptions are also subject to certain level of uncertainty and are mostly out of the control of the Company. Hence the actual economic conditions are likely to be different from the anticipated events. The effect of those differences may have significant impact on accounting judgement and estimates included in these Financial Statements.

The Management evaluated the key assumptions used in the above estimates and judgements under probable stress scenarios such as, retention ratio of Fixed Deposits, Ratio of Rental Collection and Re-imposing of CBSL liquid asset requirement.

After evaluating the above by the Management, and after due consideration of the range and likelihood of outcomes, the Management is satisfied that the Company have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these financial statements.

3. CHANGES IN ACCOUNTING POLICIES

3.1 New Accounting Standards and Interpretations Effective During the Year.

In these Financial Statements, the Company has applied SLFRS 16, which is effective for the annual reporting periods beginning on or after January 1, 2019 for the first time. The Company has not early adopted any other accounting standard, interpretation or amendment that has been issued but not effective.

3.1.1 SLFRS 16 -Leases

SLFRS 16 issued in 2016, supersedes LKAS 17,. SLFRS 16 sets out the principles for the recognition, measurement, presentation, and disclosure of leases and requires lessees to recognise most leases on the statement of financial position.

One of the most notable aspects of SLFRS 16 is that the lessee and lessor accounting models are asymmetrical. SLFRS 16 has retained LKAS 17's finance lease/operating lease distinction for lessors but this distinction is no longer relevant for lessees. Hence, the changes introduced in SLFRS 16 are not significant in respect of contracts in which the Company is the lessor. However, SLFRS 16 has introduced fundamental changes to accounting principles when the Company becomes the lessee of the contract.

The Company adopted SLFRS 16 using the modified retrospective method of adoption with the date of initial application being January 1, 2019. Under this method, the standard is applied retrospectively with the cumulative effect of initially applying the standard being recognised at the date of initial application. Due to the adoption of SLFRS 16, deferred tax asset created under LKAS 17 on the liability of straight lining of lease rentals has been transferred directly to equity as of April 1, 2019.

The Company has lease contracts for various branches. Before the adoption of SLFRS 16, the Company classified each of its leases (as lessee) at the inception date as either a finance lease or an operating lease. Refer to Note 4.2.2 for the accounting policy prior to 1 January 2019.

The Company recognises a lease liability at the date of initial application for leases previously classified as operating leases applying LKAS 17. The lessee shall measure that lease liability at the present value of the remaining lease payments, discounted using the lessee's IBR at the date of initial application. The Company recognises as right-of-use asset at the date of initial application for leases previously classified as operating leases applying LKAS 17.

The Company opted to measure the right-of-use asset at an amount equal to the lease liability, on a lease-by-lease basis, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the SOFP immediately before the date of initial application.

The key changes of SLFRS 16 are as set out below:

3.1.1.1 Changes to identification of leases

SLFRS 16 has changed the recognition of leases by replacing the ‘risk and reward’ model in LKAS 17 with a ‘right-of-use’ model for lessees. The Company determines whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

SLFRS 16 introduces a single on-balance sheet model for lessees similar to the accounting for finance lease under LKAS 17. Accordingly, leases within the scope of SLFRS 16 are brought on to the balance sheet recognising a ‘right-of-use’ asset and related lease liability. As a result, the portion of off-balance sheet finance kept in the form of operating lease is recognised on balance sheet, except for short-term leases (lease term 12 months or less) and leases of low value.

3.1.1.2 Separating components of a contract

The Company determines, the right to use an underlying asset is a separate lease component if both of the following criteria are met.

- The lessee can benefit from use of the asset either on its own or together with other resources that are available to the lessee.
- The underlying asset is neither dependent on, nor highly interrelated with, the other underlying assets in the contract.

For contracts in which the Company becomes the lessee, the consideration in the contract is allocated to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components. On the other hand, when the Company is the lessor, the guidance given in Sri Lanka Accounting Standard – SLFRS 15 on “Revenue from Contracts with Customers” (SLFRS 15) is applied to allocate transaction price to separate components.

3.1.1.3 Determination of lease term

All lease liabilities are to be measured with reference to the estimate of lease term. Accordingly, the Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In this assessment, the Company considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease.

The Company reassesses whether it is reasonably certain to exercise an extension option, or not to exercise a termination option, only upon the occurrence of a significant event or significant change in circumstances that are within the control of the Company as a lessee. In addition, as per SLFRS 16, the Company revises lease term only if there is a change in the non-cancellable period of lease.

The full impact of adopting SLFRS 16 is set out in Note 29 to the Financial Statements.

3.1.2 IFRIC Interpretation 23 “Uncertainty over Income Tax Treatment”

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated within certain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Company applies significant judgement in identifying uncertainties over income tax treatments. Since the Company operates in a complex environment, it assessed whether the interpretation had an impact on its Financial Statements. Upon adoption of the interpretation, the Company considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The tax filings of the Company in different jurisdictions include deductions related to transfer pricing and the taxation authorities may challenge those tax treatments. The Company determined, based on its tax compliance and transfer pricing study, that it is probable that its tax treatments will be statements of the accepted by the taxation authorities. The interpretation did not have an impact on the Financial Statements of the Company.

Except for the changes mentioned above, the Company has consistently applied the accounting policies for all periods presented in these Financial Statements.

4. GENERAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements except for the changes mentioned in Note 3 to the Financial Statements.

4.1 Financial Instruments-Initial Recognition, Classification and Subsequent Measurement

4.1.1 Date of Recognition

All financial assets and liabilities are initially recognised on the trade date, i.e. the date that the Company becomes a party to the contractual provisions of the instrument. This includes “regular way trades”. Regular way trade means purchases or sales of financial assets within the time frame generally established by regulation or convention in the market place.

4.1.2 Initial measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss (FVPL), transaction costs are added to, or subtracted from, this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Company accounts for “Day 1 profit or loss”, as described below.

4.1.3 ‘Day 1’ profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company recognises the difference between the transaction price and fair value (a ‘Day 1’ profit or loss) in the Income Statement over the tenor of the financial instrument using effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Income Statement when the inputs become observable, or when the instrument is derecognised.

4.1.4 Measurement categories of Financial Assets and Financial Liabilities

As per SLFRS 9, the Company classifies all its financial assets based on the business model for managing the assets and the assets’ contractual terms measured at either; On initial recognition, a financial asset is classified as measured at,

- Amortised Cost,
- Fair Value Through Other Comprehensive Income (FVOCI) or
- Fair value Through Profit or Loss. (FVPL)

The subsequent measurement of financial assets depends on their classification.

Financial liabilities are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments or the fair value designation is applied.

4.1.4 (a) (i).Financial Assets at Amortised cost :

The Company only measures loans, receivables, and other financial investments, at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Financial Assets consist of cash and bank balances, securities purchased under repurchase agreements, placement with banks, lease rentals receivable & stock out on hire, loan receivables, and other financial assets.

The details of the above conditions are outlined below.

Business model assessment

The Company determines its business model at the level that best reflect how it manages groups of financial assets to achieve its business objective.

The Company’s business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity’s Key Management Personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair values of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Company’s assessment

The business model assessment is based on reasonably expected scenarios without taking “worst case” or “stress case” scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company’s original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Solely Payments of Principal and Interest (SPPI) test

As a second step of its classification process, the Company assesses the contractual terms of financial to identify whether they meet the SPPI test.

‘Principal’ for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms of that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

4.1.4 (a) (ii) Equity instruments at FVOCI

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

Currently, the Company has recorded its non-quoted equity investments FVOCI at cost less ECL if any. The details of equity instruments at FVOCI are given in Note 22 to the Financial Statements.

4.1.4 (a) (iii) Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The company does not have compound financial instruments which contains both a liability and an equity component and require separation as at the date of the issue.

Currently, the Company has recorded Debt issued and other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans, debentures.

4.1.5 Cash and Bank balances

Cash and bank balances comprise cash in hand, balances with banks, loans at call and at short notice that are subject to an insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments. Details of cash and bank balances are given in Note 17 to Financial Statements.

4.1.6 Classification and Subsequent Measurement of Financial Liabilities

Financial liabilities, other than loan commitments and financial guarantees, are classified as,

- (i) Financial liabilities at Fair Value through Profit or Loss (FVTPL)
 - a) Financial liabilities held for trading
 - b) Financial liabilities designated at fair value through profit or loss
- (ii) Financial liabilities at amortised cost, when they are held for trading and derivative instruments or the fair value designation is applied.

The subsequent measurement of financial liabilities depends on their classification.

i. Financial Liabilities at Fair Value Through Profit or Loss (FVTPL)

Financial Liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are fair value, and changes therein recognized in Income Statement. No such liabilities as at the reporting date.

ii. Financial Liabilities at Amortised Cost

Financial liabilities issued by the Company that are not designated at FVTPL are classified as financial liabilities at amortised cost under “Due to banks”, “Due to customers” and “Other borrowed fund, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder.

After initial measurement, financial liabilities are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument

Currently, the Company has recorded Due to Banks & Other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans and securitizations.

4.1.7 Reclassifications of Financial assets and Financial Liabilities

The Company does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Company acquires, disposes of, or terminates a business line. Financial liabilities are never reclassified. The Company did not reclassify any of its financial assets or liabilities during the financial year.

4.1.8 Derecognition of Financial Assets and Financial Liabilities**4.1.8 (a) Derecognition of Financial Assets**

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset, if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset
- Or
- It retains the rights to cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

Pass-through arrangements are transactions whereby the Company retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Company has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates.
- The Company cannot sell or pledge the original asset other than as security to the eventual recipients
- The Company has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Company is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for derecognition if either:

- The Company has transferred substantially all the risks and rewards of the asset
- Or
- The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing involvement, in which case, the Company also recognises as associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Company could be required to pay.

If continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the continuing involvement is measured at the value the Company would be required to pay upon repurchase. In the case of a written put option on an asset that is measured at fair value, the extent of the entity's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

4.1.8 (b) Derecognition - Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

4.1.9 Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The disclosure of fair value of financial instruments is disclosed in Note 39 to the Financial Statements.

4.1.10 Impairment of Financial Assets

4.1.10 (i) a. Overview of the expected credit loss (ECL) principles

The Company recognises expected credit losses for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts. Equity instruments are not subject to impairment under SLFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12mECL). The Company's policies for determining if there has been a significant increase in credit risk are set out in Note 40.4.1 (b)

The 12mECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Company established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Company groups its loans into Stage 1, Stage 2, Stage 3 and POCI, as described below.

Stage 1: When loans are first recognised, the Company recognises an allowance based on 12mECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

Stage 2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 3.

Stage 3: Loans considered credit-impaired. The Company records an allowance for the LTECLs.

POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses.

For financial assets for which the Company has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

b. The Calculation of Expected Credit Loss (ECL)

The Company calculates ECLs based on a four probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD : The probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD: The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued interest from missed payments.

LGD: The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The mechanism of the ECL method are summarised below.

Stage 1: The 12mECL is calculated as the portion of LTECLs that represent the ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Company calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation of the original EIR.

Stage2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected cash shortfalls are discounted by an approximation to the original EIR.

Stage 3: For loans considered credit-impaired, the Company recognises the lifetime expected credit losses for these loans. The method is similar to that for Stage 2 assets, with the PD set at 100%.

c. Forward looking information

In its ECL models, the Company relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rate
- Central Bank base rates
- Inflation

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the Financial Statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

4.1.10 (ii) Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the income statement.

4.1.10 (iii) Renegotiated Loans

The Company makes concessions or modifications to the original terms of loans as a response to the borrower's financial difficulties, rather than taking possession or to otherwise enforce collection of collateral. The Company considers a loan renegotiated when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Company would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Renegotiated loans may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of the terms. It is the Company's policy to monitor renegotiated loans to help ensure that future payments continue to be likely to occur. Derecognition decisions and classification between Stage 2 and Stage 3 are determined on a case-by-case basis. If these procedures identify a loss in relation to a loan, it is disclosed and managed as an impaired Stage 3 renegotiated asset until it collected or written off.

4.1.10 (iv) Write-off of Financial Assets at Amortised Cost

Financial Assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

4.1.10 (v) Collateral Valuation

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letter of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

To the extent possible, the Company uses active market data for valuing financial assets, held as collateral.

Other financial assets which do not have readily determinable market value are valued using models.

Nonfinancial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers, Audited Financial Statements and other independent sources.

4.1.10 (vi). Collateral repossessed

The Company's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations will be transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

4.1.10 (vii). Offsetting Financial Assets and Liabilities

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in the Statement of Financial Position.

Income and expenses are presented on a net basis only when permitted under LKAS/ SLFRS, or for gains and losses arising from a group of similar transactions such as in the group's trading activity.

4.1.11 Other Financial Assets

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

4.1.12 Other Financial Liabilities

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking in to account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.1.13 Borrowings

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments.

After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.2 Leases

The Company applied Sri Lanka Accounting Standard -SLFRS 16 (Leases) with effect from 1 April 2019 using the modified retrospective approach. Accordingly, the comparative information has not been restated and continued to be reported under LKAS 17 and IFRIC 4. The details of accounting policies under LKAS 17 and IFRIC 4 are disclosed separately if they are different from those under SLFRS 16.

**4.2.1 Identification of a Lease
Policy applicable from 01 January 2019**

For the contracts entered on or after the effective date of transition, the Company assesses at the inception of a contract, whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used. After the assessment of whether a contract is, or contains, a lease, the Company determines whether it contains additional lease or non-lease (service) components based on the detailed guidance provided in SLFRS 16. Accordingly, the right to use of an identifying asset is a separate lease component if the lessee can benefit from the use of underlying asset either on its own or together with other resources readily available to the lessee and the underlying asset is neither highly dependent on, nor highly interrelated with, the other underlying assets in the contract.

4.2.1.1 Company as a lessee

As per SLFRS 16, when the Company has determined that a contract contains a lease component and one or more additional lease components or non-lease components, the consideration in the contract is allocated to each lease component on the basis of relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components. At the commencement date, the Company recognises right-of-use of an asset and a lease liability which is measured at the present value of the lease payments that are payable on that date. Lease payments are discounted using the IBR.

After initial recognition, the Company applies cost model for the right-of-use of an asset and depreciate the asset from commencement date to the end of the useful life of the underlying asset. Where the right does not transfer the ownership of the asset, the Company depreciates it from commencement date to the earlier of the end of the useful life of the right-of-use asset or end of the lease term. In addition, interest expense on the lease liability is recognised in the profit or loss. Details of “Right-of-use asset” and “Lease liability” are given in Notes 29.1 and 29.2.

4.2.1.2 Company as a lessor

Similar to above, at the commencement of the contract, the Company determines whether the contract contains a lease component and one or more additional lease components or non-lease components. When there is one or more additional lease or nonlease component, the Company allocates consideration based on the guidelines given in SLFRS 15.

However SLFRS 16 largely retains the lessor accounting requirements in LKAS 17 and classification of leases is based on the extent to which risks and rewards incidental to ownership of leased asset lie with the lessor or lessee.

4.2.1.2.1 Finance leases – Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognises assets held under finance lease in the SOFP and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal to the fair value of the underlying asset and initial direct costs. The Company’s net investment in lease is included in Note 33 on “Loans and advances to banks” or Note 34 “Loans and advances to other customers”, as appropriate. The finance income receivable is recognised in “interest income” over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

4.2.1.2.2 Operating leases – Company as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The Company recognises lease payments from operating leases as income on straight line basis. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

Details of “Operating leases” are given in Note 29 .

4.2.2 Application as per LKAS 17 (Applicable up to December 31, 2018)

4.2.2.1 Company as a lessee

The classification of leases under LKAS 17, is based on the extent to which risks and rewards incidental to ownership of a leased asset lie with lessor or lessee.

4.2.2.1.1 Finance leases – Company as a lessee

As per LKAS 17, leases that transfer substantially all risks and rewards incidental to ownership of the leased item to the Company are classified as finance leases and capitalised at the commencement of the lease at the lower of the fair value of the leased property and the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability.

A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Company will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

4.2.2.1.2 Operating leases – Company as a lessee

As per LKAS 17, assets held under leases other than finance leases are classified as operating leases and are not recognised in the Company's SOFP. Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease. Contingent rental payable is recognised as an expense in the period in which they are incurred. Details of "Operating leases" are given in Note 29.

4.2.2.2 Company as a lessor

The classification of leases adopted under LKAS 17, is based on the extent to which risks and rewards incidental to ownership of a leased asset lie with lessor or lessee.

4.2.2.2.1 Finance leases – Company as a lessor

When the Company is the lessor under a lease agreement that transfers substantially all of the risks and rewards incidental to the ownership of the asset to the lessee, the net investment in lease (i.e., after deduction of unearned charges) are included in Note 21 on "Lease Rental Receivables".

The finance income receivable is recognised in "interest income" over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

4.2.2.2.2 Operating leases – Company as a lessor

Assets leased under leases other than finance leases are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

Contingent rents are recognised as revenue in the period in which they are earned.

4.3 Real Estate Stock

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost	-	Land Cost with Legal Charges.
Cost of Conversion	-	Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale

4.4 Non – Financial Assets**4.4.1 Property, Plant & Equipment**

Property, plant & equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

Basis of Recognition and Measurement**- Cost Model**

An item of property, plant & equipment that qualifies for recognition as an asset is initially measured at its costs. Costs include expenditure that is directly attributable to the acquisition of the asset and cost is incurred subsequently to add to or replace a part of it.

The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs.

When parts of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

The Company applies the cost model to property, plant & equipment and records at cost of purchase or construction together with any incidental expense thereon less accumulated depreciation and any accumulated impairment losses.

Changes in the expected useful life are accounted for by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Company and its cost can be reliably measured. The costs of the day to day servicing property, plant and equipment are charged to the Statement of Comprehensive Income.

Repairs and Maintenance

Repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Depreciation

The provision for depreciation is calculated by using the straight line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

Asset Category	Rate of Depreciation (per annum)
• Furniture & Fittings	12.5% - 33.33%
• Office Equipment	12.5%
• Motor Vehicle	12.5%
• Computer Equipment	25%

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognised.

Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

4.4.2 Intangible Assets

The Company's intangible assets include the value of computer software.

Basis of Recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard LKAS 38 on Intangible Assets.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Subsequent Expenditure

Subsequent expenditure on Intangible Asset is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic life, Amortization and Impairment

The useful lives of intangible assets are assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible asset.

Amortization

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual value over their estimated useful life as follows:

Asset Category	Useful life
• Computer software	10 Years

The residual value of the intangible asset is zero.

The unamortized balances of Intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised in profit or loss to the extent that they are no longer probable of being recovered from the expected future benefits.

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset, Calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

4.4.3 Impairment of Non Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating unit's (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

4.5 Retirement Benefit Obligations

4.5.1 Defined Benefit Plan - Gratuity

All the employees of the company are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983, at the rate of one half of the Gross Salary applicable to the last month of the financial year in which the employment is terminated or resigned, for each year of completed service, for those who have served in excess of 5 years.

The Company measures the present value of the promised retirement benefits for gratuity which is a defined benefit plan with the advice of an independent professional actuary using projected unit credit actuarial cost method as required by Sri Lanka Accounting Standard – LKAS 19 on “Employee Benefits”.

The item is stated under other liabilities in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise.

Interest Cost

Interest cost is the expected increase due to interest during the period in the present value of the planned liabilities because the benefits are one year closer to settlement

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

4.5.2 Defined Contribution Plans

The Company also contributes defined contribution plans. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under ‘Personnel expenses’. Unpaid contributions are recorded as a liability.

The Company contributes to the following Schemes:

Employees’ Provident Fund

The Company and employees contribute 12% and 8% respectively of the employee’s total earnings (as defined in the Employees’ Provident Fund) to the Employees’ Provident Fund.

Employees’ Trust Fund

The Company contributes 3% of the employee’s total earnings (as defined in the Employees’ Trust Fund) to the Employees’ Trust Fund.

4.6 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with Sri Lanka Accounting Standard– LKAS 37 on ‘provision, contingent liabilities and contingent assets’.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligations at that date.

When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement.

4.7 Recognition of Interest Income Interest Expense

4.7.1 Interest income and Interest Expense

Under SLFRS 9, interest income and interest expense is recorded using the effective interest rate (EIR) method for all financial instruments measured at amortised cost.. The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

The EIR (and therefore, the amortised cost of the asset/liability) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Company recognises interest income/expense using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset/liability are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income/interest expense. The adjustment is subsequently amortised through Interest income/Interest expense in the income statement.

When a financial asset becomes credit-impaired (as set out in Note 41.4.1 (a)) and is, therefore, regarded as ‘Stage 3’, the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial assets cures and is no longer credit-impaired, the Company reverts to calculating interest income on a gross basis.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVPL is recognised using the contractual interest rate under net interest income.

4.7.2 Interest Income on Overdue Rentals

Interest from overdue rentals has been accounted when they are received.

4.8 Fee and Commission Income and Expenses

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate.

Fee and Commission income – including account Credit related fees & commission, Service charge, Transfer Fees and other fees income – is recognised as the related services are performed. If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fee is recognised on a straight-line basis over the commitment period.

Fees earned for the provision of services over a period of time are accrued over that period

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

4.9 Dividend Income

Dividend income is recognised when the right to receive income is established.

4.10 Income from Government Securities and Securities purchased under Re-Sale Agreement

Discounts/ premium on Treasury bills & Treasury bonds are amortised over the period to reflect a constant periodic rate of return. The coupon interest on treasury bonds is recognised on an accrual basis. The interest income on securities purchased under resale agreement is recognised in the Income Statement on an accrual basis over the period of the agreement.

4.11 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities ‘held for trading’ other than interest income.

4.12 Recovery of Bad Debts Written Off

Recovery of amounts written off as bad and doubtful debts is recognised upon received.

4.13 Personnel Expenses

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay all employee benefits relating to employee services in the current and prior periods and the obligation can be estimated reliably.

4.14 Other Operating Expenses

Other operating expenses are recognized in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income in arriving at the profit of the year.

4.15 Taxes

As per Sri Lanka Accounting Standard –LKAS 12(Income Taxes),tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Income Statement, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income.

4.15.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantially enacted on the reporting date and any adjustment to the tax payable in respect of prior years.

Accordingly, provision for taxation is based on the profit for the year 2018 adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017(Inland Revenue Act No.10 of 2006 and amendments thereto up to 31 March 2018) and the amendment thereto, at the rate specified in note 15 to the Financial Statements.

Current tax relating to items recognised directly in equity is recognised in equity and in the Statement of Comprehensive Income.

4.15.1.1 Changes proposed to Income Tax from Government Tax Proposals

As per the Notice to tax payers and withholding agents on “Implementation of Proposed Changes to the Inland Revenue Act No. 24 of 2017” dated February 12, 2020 issued by the Department of Inland Revenue, Income Tax rates of Corporates has been revised to 24% from 28% effective from January 1, 2020, pending formal amendments to be made to the Inland Revenue Act .

4.15.2 Deferred tax

Deferred tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

4.15.3 Value Added Tax (VAT) on Financial Services

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments thereto. The base for the computation of Value Added Tax on Financial Services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees including cash, Non-cash benefits and provisions relating to terminal benefits, computed on prescribed rate.

4.15.4 Economic Service Charge (ESC)

As per provisions of the Economic Service Charge (ESC) Act No. 13 of 2006 and subsequent amendments thereto, ESC is payable on aggregate turnover of the Company at 0.5% and is deductible from income tax payable. Unclaimed ESC, if any, can be carried forward and set-off against the income tax payable in the three subsequent years.

ESC is not payable on turnover on which income tax is payable.

As per Notice published dated January 1, 2020 by the Department of Inland Revenue, ESC was abolished with effect from January 1, 2020.

4.15.5 Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act No 9 of 2009 and subsequent amendments thereto with effect from 01 January 2014. NBT on financial services is calculated as 2% of the value addition used for the purpose of VAT on financial services.

As per Notice published by the Department of Inland Revenue dated November 29, 2019, NBT was abolished with effect from December 1, 2019.

4.15.6 Debt Repayment Levy

A levy of 7% is charged monthly on the value addition attributable to the supply of financial services as specified in section 36 of Finance Act No. 35 of 2018 along with section 25C of the Value Added Tax (VAT) Act No. 14 of 2002.

As per notice published by the Department of Inland Revenue dated January 20, 2020, DRL was abolished with effect from January 1, 2020

4.15.7 Withholding Tax (WHT) on Dividends

Withholding tax that arises from the distribution of dividends by the Company is recognised at the time the liability to pay the related dividend is recognised.

As per Notice dated February 18, 2020 published by the Department of Inland Revenue, requirement to deduct WHT on dividends has been removed effective January 1, 2020.

4.16 Segment Reporting

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments).

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

4.17 Regulatory provisions**a. Statutory Reserve Fund**

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

b. Deposit Insurance and Liquidity Support Scheme

In terms of the Finance Company's Act Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27 September 2010 and subsequent amendments there to all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32E of the Monetary Law Act with effect from 1 October 2010. The said scheme was renamed as the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" as per the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulation No 1 of 2013.

Deposits to be insured include demand, time and savings deposit liabilities and exclude the following;

- a) Deposit liabilities to member institutions
- b) Deposit liabilities to Government of Sri Lanka
- c) Deposit liabilities to Directors, key management personnel and other related parties as defined in Banking Act Direction No 11 of 2007 on Corporate Governance of Licensed Commercial Banks
- d) Deposit liabilities held as collateral against any accommodation granted
- e) Deposit liabilities falling within the meaning of abandoned property in terms of the Banking Act and dormant deposits in terms of the Finance Companies Act funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.15% on total amount of eligible deposits as at end of the month with in a period of 15 days from the end of the respective month

c. Crop Insurance Levy (CIL)

In terms Section 15 of the Finance Act No 12 of 2013 all institutions under the purview of Banking Act No 30 of 1988, Finance Companies Act No 78 of 1988 and Regulation of Insurance Industry Act No 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund Board effective from 01 April 2013.

4.18 Earnings per Share (EPS)

Basic EPS is calculated by dividing the net profit or loss attributable to ordinary equity shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares if any.

5.1 SRI LANKA ACCOUNTING STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT 31 MARCH 2020

The following Sri Lanka Accounting Standards and interpretations have been issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31st March 2020, and earlier application is permitted. However, the Company has not early adopted the following amendments to Accounting Standards in preparing these Financial Statements as they are not expected to have a significant impact on the Company's Financial Statements.

5.1 SLFRS 17 Insurance Contracts

SLFRS 17 Insurance Contracts, is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosures. Once effective, SLFRS 17 replaces existing SLFRS 4 Insurance contracts. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers.

SLFRS 17 is effective for reporting periods beginning on or after 1 January 2021. Early application permitted, if the entity is applying SLFRS 16 and SLFRS 15 on or before the date in which it first apply SLFRS 17. This standard is not applicable to the Company.

5.2 Amendments to LKAS 1 and LKAS 8: Definition of Material

In November 2018, the CA Sri Lanka issued amendments to LKAS 1 and Sri Lanka Accounting Standard – LKAS 8 on “Accounting Policies, Changes in Accounting Estimates and Errors” to align the definition of ‘material’ across the standards and to clarify certain aspects of the term ‘definition’. The new definition states that, ‘Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose Financial Statements make on the basis of those Financial Statements, which provide financial information about a specific reporting entity.’ The Company shall apply those amendments prospectively for annual financial periods beginning on or after April 1, 2020.

5.3 Amendments to SLFRS 3: Definition of a Business

Amendments to the definition of a business in SLFRS 3 Business Combinations are made to help the entities determine whether an acquired set of activities and assets is a business or not. They clarify the minimum requirements for a business, remove the assessment of whether market participants are capable of replacing any missing elements, add guidance to help entities assess whether an acquired process is substantive, narrow the definition of a business and of outputs, and introduce an optional fair value concentration test.

Since the amendments are applied prospectively to all business combinations and asset acquisitions for which the acquisition date is on or after the first annual reporting period beginning on or after 01 January 2020 with early application permitted.

5.4 Amendments to references to the conceptual framework in SLFRS standards

CA Sri Lanka has issued a revised Conceptual Framework which will be used in standard setting decisions with immediate effect. Key changes include:

- increasing the prominence of stewardship in the objective of financial reporting y reinstating prudence as a component of neutrality
- defining a reporting entity, which may be a legal entity, or a portion of an entity y revising the definitions of an asset and a liability
- removing the probability threshold for recognition and adding guidance on derecognition y adding guidance on different measurement basis, and
- stating that profit or loss is the primary performance indicator and that, in principle, income and expenses in other comprehensive income should be recycled where this enhances the relevance or faithful representation of the financial statements.

Since the amendments are effective for annual periods beginning on or after 01 January 2020, the Company will not be affected by these amendments as at the reporting date. Further, the amendments to the references to the conceptual framework in SLFRS standards are not expected to have a significant impact on the Company's Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

6.	INCOME	2020 Rs.	2019 Rs.
	Interest Income	1,838,845,339	1,820,102,486
	Fee & Commission Income	185,760,201	144,729,403
	Net Gain/(Loss) from Trading	240,800	206,400
	Other Operating Income	13,029,183	13,510,601
		<u>2,037,875,523</u>	<u>1,978,548,890</u>
6.1	Interest Income		
	Loans and Advances	405,750,147	467,140,076
	Lease Rentals Receivable & Stock out on Hire	1,353,722,028	1,234,252,136
	Financial Investments in Government Securities	45,435,146	46,574,875
	Other Financial Assets	2,654,437	4,815,757
	Placement with Banks	31,283,581	67,319,642
	Total Interest Income	<u>1,838,845,339</u>	<u>1,820,102,486</u>
	Interest income on Loans and Advances and Lease Rentals Receivable & Stock out on Hire includes interest income accrued on impaired Financial Assets amounting to Rs.102,658,357/- (2018/2019 -Rs.180,164,072/-).		
6.2	Interest Expenses		
	Due to Banks	52,986,415	34,819,975
	Due to Customers	723,889,845	804,884,530
	Debt Instruments Issued and Other Borrowed Funds	86,984,138	20,621,567
	Leased Assets (Note 29.2)	12,871,643	-
	Total Interest Expenses	<u>876,732,041</u>	<u>860,326,072</u>
7.	NET FEE AND COMMISSION INCOME	2020 Rs.	2019 Rs.
7.1	Fee and Commission Income		
	Credit Related Fees and Commissions	88,151,465	43,002,032
	Service Charge	79,948,320	90,619,841
	Transfer Fees	16,859,752	10,762,988
	Other Fees	800,664	344,542
	Total Fee and Commission Income	<u>185,760,201</u>	<u>144,729,403</u>
7.2	Fee and Commission Expenses		
	Brokerage Fees	13,633,994	74,074,243
	Total Fee and Commission Expenses	<u>13,633,994</u>	<u>74,074,243</u>
	Net Fee and Commission Income	<u>172,126,207</u>	<u>70,655,160</u>
8.	NET GAIN/(LOSS) FROM TRADING	2020 Rs.	2019 Rs.
	Dividend Income from Financial Investments - Held for Trading	240,800	206,400
		<u>240,800</u>	<u>206,400</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

9. OTHER OPERATING INCOME	2020 Rs.	2019 Rs.
Bad Debt Recoveries	12,559,522	12,853,574
Rent Income	-	179,694
Others	469,661	477,333
Total Other Operating Income	13,029,183	13,510,601

10. CREDIT LOSS EXPENSE ON FINANCIAL ASSETS AND OTHER LOSSES

10.1 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2019/2020 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Cash and Bank Balances	(28,045)	-	-	(28,045)
Placement With Banks	(7,675)	-	-	(7,675)
Loans and Advances	(4,123,672)	15,249,836	80,515,257	91,641,421
Lease Rentals Receivable & Stock Out on Hire	(2,180,102)	(3,161,368)	77,298,132	71,956,662
Other Debtors	-	-	169,691,444	169,691,444
	(6,339,493)	12,088,467	327,504,833	333,253,807

10.2 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2018/2019 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Cash and Bank Balances	(173,433)	-	-	(173,433)
Placement With Banks	(49,676)	-	-	(49,676)
Loans and Advances	(42,553,463)	640,634	56,460,110	14,547,281
Lease Rentals Receivable & Stock Out on Hire	(2,538,295)	41,573,872	164,864,766	203,900,344
Other Debtors	-	-	83,756,458	83,756,458
	(45,314,867)	42,214,506	305,081,334	301,980,973

11. PERSONNEL COSTS	2020 Rs.	2019 Rs.
Salaries and Bonus	197,876,971	170,454,233
Employer's Contribution to EPF	21,192,193	20,729,620
Employer's Contribution to ETF	5,269,473	5,182,405
Gratuity Charge/ (Reversals) for the Year (Note 36.1)	5,489,724	5,242,795
Other Allowances & Staff Related Expenses	40,139,966	38,027,951
	269,968,327	239,637,004

12. DEPRECIATION & AMORTIZATION	2020 Rs.	2019 Rs.
Depreciation of Property Plant & Equipment	21,463,910	23,209,418
Amortization of intangible assets	4,650,912	3,745,812
Depreciation of Leased Assets	42,801,730	-
	68,916,552	26,955,230

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

13. OTHER OPERATING EXPENSES	2020 Rs.	2019 Rs.
Directors' Emoluments	11,833,500	16,371,402
Auditors Remuneration	1,061,200	656,194
	723,800	357,500
Professional & Legal Expenses	18,525,247	20,183,153
Office Administration & Establishment Expenses	105,659,809	150,439,586
Advertising & Business Promotion Expenses	39,981,725	45,423,013
Deposit Insurance premium	6,885,683	7,789,620
Loss on disposal of Property & Equipment	163,923	
Others	54,801,522	53,193,497
	<u>239,636,409</u>	<u>294,413,965</u>
14. TAXES ON FINANCIAL SERVICES	2020 Rs.	2019 Rs.
Value added tax on financial services	59,285,537	47,642,044
Nation building tax on financial services	3,980,506	6,352,273
Debt repayment levy on financial services	18,519,498	16,287,533
	<u>81,785,541</u>	<u>70,281,850</u>
15. TAXATION		
15.1 The major components of income tax expense for the years ended 31 March are as follows.		
(A) Statement of Profit or Loss	2020 Rs.	2019 Rs.
Current Income Tax		
Income Tax for the year	59,762,298	48,060,260
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 30)	(9,240,540)	39,097,970
	<u>50,521,758</u>	<u>87,158,230</u>
(B) Other Comprehensive Income		
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 30)	(65,861)	928,655
	<u>(65,861)</u>	<u>928,655</u>
(C) Total Tax Expense for the year	<u>50,455,897</u>	<u>88,086,885</u>
15.2 Reconciliation of Accounting Profit and Taxable Income		
A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the Years ended 31 March 2020 and 2019 is as follows.		
	2020 Rs.	2019 Rs.
Accounting Profit Before Income Taxation	153,948,852	110,879,553
Adjustments		
Capital Portion of Leasing Rental Due	1,077,135,062	1,720,485,136
Non-taxable Income/ Losses	(240,800)	(206,400)
Disallowable Expenses	150,623,764	137,322,724
Allowable Expenses	(1,168,030,099)	(1,591,485,515)
Total Statutory Income	213,436,779	376,995,499
Claim on Carried Forward Tax Losses	-	(205,351,711)
Taxable Income	213,436,779	171,643,788
Income Tax Rate (%)	28%	28%
Income Tax	59,762,298	48,060,260
Deferred Taxation Charge/(Reversal) (Note 29)	(9,240,540)	39,097,970
Total Tax Expense (Note 15.1 (A))	<u>50,521,758</u>	<u>87,158,230</u>
Effective tax rate	33%	79%

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

16. EARNINGS PER ORDINARY SHARE

The Company presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary equity share holders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

16.1 Earnings per Share: Basic / Diluted	2020 Rs.	2019 Rs.
Amount used as the numerator		
Profit after tax for the year attributable to equity holders (Rs.)	103,427,094	23,721,323
No. of ordinary shares used as the denominator		
Number of ordinary shares (Note 37.1)	66,561,573	66,561,573
Basic / diluted earnings per ordinary share (Rs.)	<u>1.55</u>	<u>0.36</u>

17. CASH AND BANK BALANCES	2020 Rs.	2019 Rs.
Cash in Hand	38,940,137	140,409,957
Balances with Banks	108,020,724	123,154,946
Less: Allowance for expected credit losses	(19,173)	(47,219)
	<u>146,941,688</u>	<u>263,517,684</u>

17.1 The movement in provision for expected credit losses are as follows.

	2020		2019	
	Rs. Stage 01	Rs. Total	Rs. Stage 01	Rs. Total
Balance as at 01 April	47,219	47,219	220,652	220,652
Charge/(Reversal) to Income Statement	(28,045)	(28,045)	(173,433)	(173,433)
Balance as at 31 March	<u>19,174</u>	<u>19,174</u>	<u>47,219</u>	<u>47,219</u>

17.1 Cash and Cash Equivalents in the Cash Flow Statement	2020 Rs.	2019 Rs.
Cash and Bank Balances	146,960,861	263,564,903
Bank Overdrafts	(274,356,762)	(128,421,459)
Treasury Bills and Repurchase Agreements	483,034,463	281,537,224
Placement with Banks	184,432,682	234,820,305
Total Cash and Cash Equivalents for the purpose of Cash Flow Statements	<u>540,071,245</u>	<u>651,500,973</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

18. PLACEMENT WITH BANKS

	2020 Rs.	2019 Rs.
Fixed Deposit Investments	204,400,424	249,712,962
Less: Allowance for expected credit losses	(46,270)	(53,945)
	<u>204,354,154</u>	<u>249,659,017</u>

18.1 The movement in provision for expected credit losses are as follows.

	2020		2019	
	Rs. Stage 01	Rs. Total	Rs. Stage 01	Rs. Total
Balance as at 01 April	53,945	53,945	103,621	103,621
Charge/(Reversal) to Income Statement	(7,675)	(7,675)	(49,676)	(49,676)
Balance as at 31 March	<u>46,270</u>	<u>46,270</u>	<u>53,945</u>	<u>53,945</u>

Fixed Deposit Investments include Investments amounting to Rs.203,358,910/- that have been Pledged for facilities obtained from Banks.

19. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT

	2020 Rs.	2019 Rs.
Repurchased Agreements	279,143,141	281,537,224
	<u>279,143,141</u>	<u>281,537,224</u>

20. LOANS AND ADVANCES

	2020 Rs.	2019 Rs.
Real Estate Loans	2,647,669	2,647,670
Mortgage Loans	291,504,696	329,013,622
Personnel Loans	1,138,509,663	842,262,706
Loans against Fixed Deposits	136,689,665	138,274,158
Staff Loans	49,513,280	51,052,155
Revolving Loans	92,633,620	99,205,632
Business Loans	385,885,563	609,462,122
Other Loans	98,298,912	238,534,915
	<u>2,195,683,068</u>	<u>2,310,452,980</u>
Other Charges Receivable	28,107,694	29,381,411
	<u>2,223,790,762</u>	<u>2,339,834,391</u>
Less : Allowance for Impairment Losses (Note 20.1)	(303,695,224)	(212,053,803)
Net Loans and Advances	<u>1,920,095,538</u>	<u>2,127,780,588</u>

20.1 Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2020

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Loans and Advances	-	-	591,284,945	591,284,945
Loans and Advances subject to Collective Impairment	995,598,142	250,396,795	386,510,881	1,632,505,817
Allowances for Expected Credit Losses	(11,026,693)	(33,775,819)	(258,892,712)	(303,695,224)
	<u>984,571,449</u>	<u>216,620,976</u>	<u>718,903,113</u>	<u>1,920,095,538</u>

Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2019

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Loans and Advances	-	-	795,702,286	795,702,286
Loans and Advances subject to Collective Impairment	966,872,613	216,253,636	361,005,856	1,544,132,105
Allowances for Expected Credit Losses	(12,874,716)	(17,942,647)	(181,236,440)	(212,053,803)
	<u>953,997,897</u>	<u>198,310,989</u>	<u>975,471,702</u>	<u>2,127,780,588</u>

20.2 Allowance for Impairment Losses

	2020 Rs.	2019 Rs.
As at 01 April	212,053,803	171,460,468
Impact on Adoption of SLFRS 09 as at 01 April 2018	-	26,250,471
	<u>212,053,803</u>	<u>197,710,939</u>
Charge / (Reversal) for the year	91,641,421	14,547,281
Amounts written off	-	(204,417)
As at 31 March	<u>303,695,224</u>	<u>212,053,803</u>
Individual Impairment	173,253,788	96,763,081
Collective Impairment	130,441,436	115,290,722
	<u>303,695,224</u>	<u>212,053,803</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>482,337,780</u>	<u>795,702,286</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

20. LOANS AND ADVANCES (Contd...)

20.3 Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2019	12,874,716	17,942,647	181,236,440	212,053,803
Charge/(Reversal) to Income Statement	(4,123,672)	15,249,836	80,515,257	91,641,421
Amounts written off	-	-	-	-
Balance as at 31 March 2020	8,751,044	33,192,482	261,751,697	303,695,224

Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2018	55,428,179	17,302,013	124,980,747	197,710,939
Charge/(Reversal) to Income Statement	(42,553,463)	640,634	56,460,110	14,547,281
Amounts written off	-	-	(204,417)	(204,417)
Balance as at 31 March 2019	12,874,716	17,942,647	181,236,440	212,053,803

21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2020 Rs.	2019 Rs.
Gross rentals receivables		
-Lease Rentals	8,184,446,221	7,446,807,974
-Amounts Receivable form Hirers	22,710,281	27,931,588
	8,207,156,502	7,474,739,562
Less: Unearned Income	(1,820,804,752)	(1,760,822,865)
Net rentals receivables	6,386,351,750	5,713,916,697
Less : Rental Received In Advance	-	-
Less : Suspended VAT	(4,118,338)	(4,475,554)
	6,382,233,412	5,709,441,143
Other Charges Receivable	126,039,159	134,171,505
	6,508,272,571	5,843,612,648
Less : Allowance for Impairment Losses (Note 21.1)	(653,944,958)	(581,988,296)
Total Net Rentals Receivable	5,854,327,613	5,261,624,352

Lease & hirers receivables include receivables amounting to Rs. 1,869,784,348 that have been Pledged for facilities obtained from Banks.

21.1 Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2020	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-	-	364,223,078	364,223,078
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	3,848,811,622	1,110,076,553	1,185,161,318	6,144,049,493
Allowances for Expected Credit Losses	(139,669,844)	(107,417,517)	(406,857,598)	(653,944,958)
	3,709,141,778	1,002,659,037	1,142,526,798	5,854,327,613

Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-	-	338,995,572	338,995,572
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	3,203,173,743	1,190,743,952	1,110,699,381	5,504,617,076
Allowances for Expected Credit Losses	(141,187,705)	(102,416,668)	(338,383,923)	(581,988,296)
	3,061,986,038	1,088,327,284	1,111,311,030	5,261,624,352

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)**21.2 Allowance for Impairment Losses**

	2020 Rs.	2019 Rs.
As at 01 April	581,988,296	320,130,687
Impact on Adoption of SLFRS 09 as at 01 April 2018	-	57,975,738
	<u>581,988,296</u>	<u>378,106,425</u>
Charge / (Reversal) for the year	71,956,662	203,900,344
Amounts written off	-	(18,473)
As at 31 March	<u>653,944,958</u>	<u>581,988,296</u>
Individual Impairment	134,885,582	48,804,943
Collective Impairment	<u>519,059,376</u>	<u>533,183,353</u>
	<u>653,944,958</u>	<u>581,988,296</u>
Gross amount of lease and hire purchase rental receivables individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>364,223,078</u>	<u>338,995,572</u>

21.3 Movement in Allowance for Expected Credit Loss (ECL)

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2019	141,187,705	102,416,668	338,383,923	581,988,296
Charge/(Reversal) to Income Statement	(2,180,102)	(3,161,368)	77,298,132	71,956,662
Amounts written off	-	-	-	-
Balance as at 31 March 2020	<u>139,007,604</u>	<u>99,255,300</u>	<u>415,682,055</u>	<u>653,944,958</u>

Movement in Allowance for Expected Credit Loss (ECL)

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2018	143,725,999	60,842,796	173,537,630	378,106,425
Charge/(Reversal) to Income Statement	(2,538,294)	41,573,872	164,864,766	203,900,344
Amounts written off	-	-	(18,473)	(18,473)
Balance as at 31 March 2019	<u>141,187,705</u>	<u>102,416,668</u>	<u>338,383,923</u>	<u>581,988,296</u>

21.4 As at 31 March 2020**Gross rentals receivables**

-Lease Rentals	4,573,510,319	3,610,935,902	-	8,184,446,221
-Amounts Receivable form Hirers	<u>22,160,281</u>	<u>550,000</u>	<u>-</u>	<u>22,710,281</u>
	4,595,670,600	3,611,485,902	-	8,207,156,502
Less: Unearned Income	(758,802,650)	(1,062,002,102)	-	(1,820,804,752)
Net rentals receivables	<u>3,836,867,950</u>	<u>2,549,483,800</u>	<u>-</u>	<u>6,386,351,750</u>

Less : Suspended VAT

(4,118,338)

Other Charges Receivable

6,382,233,412

Less : Allowance for Impairment Losses

126,039,159

6,508,272,571

Total net rentals receivable

(653,944,958)

5,854,327,613**As at 31 March 2019****Gross rentals receivables**

-Lease Rentals	3,999,518,639	3,444,096,025	3,193,310	7,446,807,974
-Amounts Receivable form Hirers	<u>26,754,962</u>	<u>1,176,626</u>	<u>-</u>	<u>27,931,588</u>
	4,026,273,601	3,445,272,651	3,193,310	7,474,739,562
Less: Unearned Income	(725,814,464)	(1,033,708,906)	(1,299,495)	(1,760,822,865)
Net rentals receivables	<u>3,300,459,137</u>	<u>2,411,563,745</u>	<u>1,893,815</u>	<u>5,713,916,697</u>

Less : Suspended VAT

(4,475,554)

Other Charges Receivable

5,709,441,143

134,171,505

Less : Allowance for Impairment Losses

5,843,612,648

(581,988,296)

Total net rentals receivable5,261,624,352

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

22. FINANCIAL INVESTMENTS -FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME / AVAILABLE FOR SALE

	2020	2019
	Rs.	Rs.
Credit Information Bureau-Unquoted Equities *	80,400	80,400
	<u>80,400</u>	<u>80,400</u>

* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

23. DEBT INSTRUMENTS AT AMORTISED COST / FINANCIAL INVESTMENTS - HELD TO MATURITY

	2020	2019
	Rs.	Rs.
Government of Sri Lanka Treasury Bills	203,891,322	215,455,125
Government of Sri Lanka Treasury Bonds	21,529,821	20,459,214
	<u>225,421,143</u>	<u>235,914,339</u>

The Company has classified its investments in government debt securities-Treasury bonds & Treasury Bills previously classified as financial investments held to maturity as debt instruments at amortised cost.

24. OTHER FINANCIAL ASSETS

	2020	2019
	Rs.	Rs.
Reposessed Stock	40,387,915	47,820,057
Other Receivables	54,640,147	131,915,742
	95,028,062	179,735,799
Less : Allowance for Impairment Losses (Note 24.1)	<u>(40,387,915)</u>	<u>(47,820,057)</u>
	54,640,147	131,915,742
Deposit	16,953,352	20,952,403
Due From Related Parties	24,894,050	18,568,601
	<u>96,487,549</u>	<u>171,436,746</u>

Reposessed stock of the Company and the corresponding ECL allowances are grouped under Stage 3.

24.1 Allowance for Impairment Losses	2020	2019
	Rs.	Rs.
As at 01 April	47,820,057	19,698,194
Impact on Adoption of SLFRS 09 as at 01 April 2018	-	(1,665,819)
	47,820,057	18,032,375
Charge / (Reversal) for the year	169,691,444	83,756,458
Amounts written off	<u>(177,123,586)</u>	<u>(53,968,776)</u>
As at 31 March	40,387,915	47,820,057
Individual Impairment	-	-
Collective Impairment	40,387,915	47,820,057
	<u>40,387,915</u>	<u>47,820,057</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

24. OTHER FINANCIAL ASSETS (Contd...)**24.2 Movement in Allowance for Expected Credit Loss (ECL)**

	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2019	47,820,057	47,820,057
Charge/(Reversal) to Income Statement	169,691,444	169,691,444
Amounts written off	(177,123,586)	(177,123,586)
Balance as at 31 March 2020	<u>40,387,915</u>	<u>40,387,915</u>

Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2018	18,032,375	18,032,375
Charge/(Reversal) to Income Statement	83,756,458	83,756,458
Amounts written off	(53,968,776)	(53,968,776)
Balance as at 31 March 2019	<u>47,820,057</u>	<u>47,820,057</u>

25. REAL ESTATE STOCK

	2020 Rs.	2019 Rs.
Real Estate Stocks	39,313,213	50,793,213
	<u>39,313,213</u>	<u>50,793,213</u>

26. OTHER NON FINANCIAL ASSETS

	2020 Rs.	2019 Rs.
Advances	27,379,656	21,644,528
Pre-paid Staff Cost	23,819,448	23,683,269
Other Receivables	212,630	212,630
Pre Paid Rent Deposit	-	3,020,088
Pre-Paid Expenses	12,541,400	15,592,880
	<u>63,953,134</u>	<u>64,153,395</u>

27. INTANGIBLE ASSETS

	Computer Software	
	2020 Rs.	2019 Rs.
Cost		
Cost as at 01 April	70,765,299	55,359,002
Additions	1,231,497	15,406,297
As at 31 March	<u>71,996,796</u>	<u>70,765,299</u>
Amortisation & Impairment:		
As at 1 April	38,006,464	34,260,652
Amortisation Charge for the year	4,650,912	3,745,812
As at 31 March	<u>42,657,376</u>	<u>38,006,464</u>
Net book value:		
As at 31 March	<u>29,339,420</u>	<u>32,758,835</u>

Nature and Amortization Method

Intangible Assets represent acquisition of computer software from third parties. These software are amortized over the estimated useful life of 10 years on a straight line basis.

During the financial year, the Company acquired intangible assets (Computer Software) to the aggregate value of Rs.1,231,497 (2018/2019 - Rs.15,406,297).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

28. PROPERTY, PLANT AND EQUIPMENT**28.1 Gross Carrying Amounts**

Cost	Balance As at 01.04.2019 Rs.	Additions/ Transfers Rs.	Disposals Rs.	Balance As at 31.03.2020 Rs.
Freehold Assets				
Land	24,940,093	-	-	24,940,093
Furniture & Fittings	74,801,405	3,302,040	(741,133)	77,362,312
Office Equipment	27,063,339	561,896	(1,350,007)	26,275,228
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	65,136,884	3,105,109	(96,901)	68,145,091
Total Value of Depreciable Assets	195,267,334	6,969,045	(2,188,041)	200,048,337

28.2 Depreciation

	Balance As at 01.04.2019 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2020 Rs.
Furniture & Fittings	46,671,649	8,904,115	(518,105)	55,057,659
Office Equipment	14,704,994	2,525,510	(1,134,200)	16,096,304
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	45,277,382	10,034,286	(75,814)	55,235,854
	109,979,638	21,463,911	(1,728,119)	129,715,430

28.3 Net Book Values

	2020 Rs.	2019 Rs.
At Cost		
Land	24,940,093	24,940,093
Furniture & Fittings	22,304,653	28,129,756
Office Equipment	10,178,924	12,358,345
Motor Vehicles	-	-
Computer Hardware	12,909,237	19,859,502
Total Carrying Amount of Property, Plant & Equipment	70,332,907	85,287,696

28.4 The useful lives of the assets are estimated as follows;

	2020	2019
Furniture & Fittings	3 - 8 Years	3 - 8 Years
Office Equipment	8 Years	8 Years
Motor Vehicles	8 Years	8 Years
Computer Hardware	4 years	4 years

28.5 During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 6,969,045/- (2018/2019- Rs.18,855,254/-).

28.6 Cost of fully depreciated assets of the company as at 31 March 2020 is Rs. 71,937,003/- (2018/2019 - Rs. 59,575,162/-).

28.7 Fair value related disclosures of freehold land

Freehold land located at Awissawella Road, Galwana, Mulleriyawa is carried at cost. According to the Company Policy, Valuation is done annually by an Independent Valuer. Therefore the fair value exist in the recent valuation (31 March 2020) which was carried out by professionally qualified independent valuer.

Valuation techniques and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of freehold land, as well as the significant unobservable inputs used.

Valuation technique	Significant unobservable inputs	Valuation Rs.
Market Comparable Method	Estimated price per perch: Rs.1,500,000 Land extent: 72.45 perches	108,675,000

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

29. RIGHT-OF-USE-ASSETS

Set out below are the carrying amounts of right-of-use-assets recognised and movements during the year.

	Balance Rs.
29.1 Cost	
Balance as at 01 April 2019	-
Effect of Adoption SLFRS 16 as at 01 April 2019	114,286,206
Restated Balance as at 01 April 2019	114,286,206
Additions and Improvements	9,765,857
Cost as at 31 March 2020	<u>124,052,063</u>
Accumulated Amortisation	
Balance as at 01 April 2019	-
Charge for the year (Note 12)	42,801,730
Accumulated Amortisation as at 31 March 2020	<u>42,801,730</u>
Net Book Value as at 31 March 2020	<u><u>-</u></u> <u>81,250,333</u>

29.2 Lease Liability

Set out below are the carrying amounts of Lease Liabilities (Included under Other Financial Liabilities in Note 33) and movements during the year.

	2020 Rs.
Balance as at 01 April	-
Effect of Adoption SLFRS 16 as at 01 April 2019	107,061,118
Restated Balance as at 01 April 2019	107,061,118
Additions	7,977,333
Accretion of Interest (Note 6.2)	12,871,643
Payments	(47,377,116)
Balance as at 31 March	<u>80,532,978</u>

The amount for the year ended 31 March 2020 has been disclosed in accordance with Sri Lanka Accounting Standard -SLFRS 16 (Leases), whereas prior period amount has not been restated. Reconciliation of the lease liability as at 31 March 2019 to the opening lease liability as at 01 April 2019 is given in Note 29.4

29.3 Maturity Analysis of Lease Liability

	2020 Rs.
As at 31 March 2020	
Less than 01 year	37,718,475
01 to 05 years	41,556,685
More than 05 years	1,257,818
	<u>80,532,978</u>

29.4 Reconciliation of Lease Liabilities as at 01 April 2019 to the Operating Lease Commitments as at 31 March 2019

	Balance Rs.
Operating Lease Commitments as at 31 March 2019 (Note 43)	119,300,467
Discounted Operating Lease Commitments as at 01 April 2019	107,751,118
Less:	
Commitments relating to leases of low value	(690,000)
Total Lease Liability as at 01 April 2019 recognized under SLFRS 16 (Note 29.2)	<u>107,061,118</u>

*The Present value of operating lease commitments as at 01 April 2019 has been calculated using weighted average incremental borrowing rate of 13.8% for the Company.

** Leases of low value include, lease Kohuwala Yard which has currently discontinued the operations. SLFRS 16 has not been applied to these contracts, since there is no material impact on the financial statements.

29.5 Sensitivity of Right-of use Assets /Lease Liability to Key Assumptions**Sensitivity to Discount Rates**

1% increase/(Decrease) in discount rate as at 31 March 2020 would have increased/(decreased) the lease liability by approximately Rs.1,214,731 with a similar increase/(decrease) in the Right- of-use Assets. Had the Company increased/(decreased) the discount rate by 1% the Company's profit before tax for the year would have increased/(decreased) by approximately Rs.237,956.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

30. DEFERRED TAXATION

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

	Statement of Financial Position		Recognized in Statement of Other Comprehensive Income		Recognized in Statement of Profit or Loss		Recognized in Statement of Statement of Changes in Equity	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Deferred Tax Liability								
Capital Allowances for Tax Purposes								
-Property Plant & Equipment	9,459,881	13,163,257	-	-	(3,703,375)	2,894,674	-	-
-Leased Asset	-	25,253,759	-	-	(25,253,759)	(83,293,459)	-	-
Define Benefit Plan- Other Comprehensive Income	1,072,137	1,137,997	(65,861)	1,137,997	-	-	-	-
	<u>10,532,018</u>	<u>39,555,013</u>	<u>(65,861)</u>	<u>1,137,997</u>	<u>(28,957,134)</u>	<u>(80,398,785)</u>	<u>-</u>	<u>-</u>
Deferred Tax Assets								
Capital Allowances for Tax Purposes								
-Leased Asset	(1,376,107)	-	-	-	(1,376,107)	-	-	-
Defined Benefit Plans- Income Statement	(6,513,978)	(6,029,928)	-	-	(484,050)	(525,024)	-	-
Define Benefit Plan- Other Comprehensive Income	-	-	-	(209,343)	-	-	-	-
Provision for Impairment on Financial Assets	(46,084,626)	(46,084,626)	-	-	-	62,523,300	-	-
Impact of Adoption of SLFRS 09	-	(23,207,706)	-	-	23,207,706	-	-	(23,207,706)
Operating Leased Assets-SLFRS 16	(1,630,955)	-	-	-	(1,630,955)	-	-	-
Brought Forward Tax Losses	-	-	-	-	-	57,498,479	-	-
	<u>(55,605,666)</u>	<u>(75,322,259)</u>	<u>-</u>	<u>(209,343)</u>	<u>19,716,594</u>	<u>119,496,755</u>	<u>-</u>	<u>(23,207,706)</u>
Deferred income tax charge/(reversal)			<u>(65,861)</u>	<u>928,655</u>	<u>(9,240,540)</u>	<u>39,097,970</u>	<u>-</u>	<u>(23,207,706)</u>
Net Deferred Tax Liability/ (Asset)	<u>(45,073,647)</u>	<u>(35,767,246)</u>						

31. DUE TO BANKS

	2020 Rs.	2019 Rs.
Bank Overdrafts	274,356,762	128,421,459
Bank Facilities (Note 31.2 (a), 31.2 (b))	535,315,926	383,338,832
	<u>809,672,688</u>	<u>511,760,291</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

31. DUE TO BANKS (Contd...)

	Amount repayable within 1 year Rs.	2020 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2019 Amount repayable after 1 year Rs.	Total Rs.
31.1 Due to Banks						
Bank Facilities	307,199,259	228,116,667	535,315,926	180,522,222	202,816,610	383,338,832
	<u>307,199,259</u>	<u>228,116,667</u>	<u>535,315,926</u>	<u>180,522,222</u>	<u>202,816,610</u>	<u>383,338,832</u>

31.2 (a) Bank Facilities

	As at 01.04.2019 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2020 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 02 Union Bank of Colombo PLC	34,722,165	-	1,096,453	34,722,165	1,096,453	-	36 Months	Lease Portfolio
Term Loan 01 Seylan Bank PLC	71,666,667	-	8,838,857	20,000,000	8,838,857	51,666,667	60 Months	Lease Portfolio
Term Loan 02 Seylan Bank PLC	93,750,000	-	12,219,924	25,000,000	12,219,924	68,750,000	48Months	Lease Portfolio
Term Loan 01 Nations Trust Bank PLC	183,200,000	-	19,357,786	99,948,560	19,350,893	83,258,333	24 Months	Lease Portfolio
Term Loan 03 Seylan Bank PLC	-	250,000,000	4,909,232	13,900,000	4,909,232	236,100,000	36 Months	Lease Portfolio
Loan Against FD 01- Seylan Bank PLC	-	130,000,000	2,399,639	130,000,000	2,399,639	-		Fixed Deposits
Loan Against FD 02- Seylan Bank PLC	-	115,000,000	579,137	115,000,000	579,137	-		Fixed Deposits
Loan Against FD 03- Seylan Bank PLC	-	50,000,000	98,630	50,000,000	98,630	-		Fixed Deposits
Loan Against FD 04- Seylan Bank PLC	-	50,000,000	622,951	50,000,000	622,951	-		Fixed Deposits
Loan Against FD 05- Seylan Bank PLC	-	50,000,000	196,721	50,000,000	196,721	-		Fixed Deposits
Loan Against FD 06- Seylan Bank PLC	-	30,000,000	196,721	14,459,074	196,721	15,540,926		Fixed Deposits
Loan Against FD 07- Seylan Bank PLC	-	80,000,000	-	-	-	80,000,000		Fixed Deposits
	<u>383,338,832</u>	<u>755,000,000</u>	<u>50,516,052</u>	<u>603,029,798</u>	<u>50,509,160</u>	<u>535,315,926</u>		

31.2 (b) Bank Facilities

	As at 01.04.2018 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2019 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 02 Union Bank of Colombo PLC	118,055,498	-	9,969,551	83,333,333	9,969,551	34,722,165	36 Months	Lease Portfolio
Term Loan 01 Seylan Bank PLC	91,666,667	-	12,095,109	20,000,000	12,095,109	71,666,667	60 Months	Lease Portfolio
Term Loan 02 Seylan Bank PLC	-	100,000,000	3,497,087	6,250,000	3,497,087	93,750,000	48 Months	Lease Portfolio
Term Loan 01 Nations Trust Bank PLC	-	200,000,000	4,663,494	16,800,000	4,663,494	183,200,000	24 Months	Lease Portfolio
Loan Against FD 01- Sampath Bank PLC	-	30,000,000	1,217,984	30,000,000	1,217,984	-		Fixed Deposits
Loan Against FD 02- Sampath Bank PLC	-	55,000,000	695,170	55,000,000	695,170	-		Fixed Deposits
Loan Against FD 03- Sampath Bank PLC	-	20,000,000	222,148	20,000,000	222,148	-		Fixed Deposits
Loan Against FD 04- Sampath Bank PLC	-	40,000,000	1,087,759	40,000,000	1,087,759	-		Fixed Deposits
	<u>209,722,165</u>	<u>445,000,000</u>	<u>33,448,301</u>	<u>271,383,333</u>	<u>33,448,301</u>	<u>383,338,832</u>		

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

32. DUE TO CUSTOMERS

	2020 Rs.	2019 Rs.
Fixed Deposits	5,110,990,119	5,753,972,509
Savings Deposits	37,151,925	38,994,015
	<u>5,148,142,044</u>	<u>5,792,966,524</u>

33. OTHER BORROWED FUNDS

	2020 Rs.	2019 Rs.
Securitization Loan (Note 33.1)	649,837,356	420,593,845
	<u>649,837,356</u>	<u>420,593,845</u>

	Amount repayable within 1 year Rs.	2020 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2019 Amount repayable after 1 year Rs.	Total Rs.
33.1 Other Borrowed Funds						
Securitized Borrowings	633,837,356	16,000,000	649,837,356	230,277,717	190,316,128	420,593,845
	<u>633,837,356</u>	<u>16,000,000</u>	<u>649,837,356</u>	<u>230,277,717</u>	<u>190,316,128</u>	<u>420,593,845</u>

33.2 (a) Other Borrowed Funds

	As at 01.04.2019 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2020 Rs.	Period Rs.	Security Rs.
Securitized Borrowings 01	420,593,845	-	53,410,387	209,656,150	33,997,696	230,350,386	22 Months	Lease Portfolio
Securitized Borrowings 02	-	300,000,000	27,767,410	59,000,000	4,595,544	264,171,866	24 Months	Lease Portfolio
Securitized Borrowings 03	-	150,000,000	5,806,340	480,700	10,536	155,315,104	15 Months	Lease Portfolio
	<u>420,593,845</u>	<u>450,000,000</u>	<u>86,984,138</u>	<u>269,136,850</u>	<u>38,603,776</u>	<u>649,837,356</u>		
	As at 01.04.2018 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2019 Rs.	Period Rs.	Security Rs.
Securitized Borrowings 01	-	399,972,278	20,621,567	-	-	420,593,845	22 Months	Lease Portfolio
	<u>-</u>	<u>399,972,278</u>	<u>20,621,567</u>	<u>-</u>	<u>-</u>	<u>420,593,845</u>		

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

34. OTHER FINANCIAL LIABILITIES		2020 Rs.	2019 Rs.
Trade Payables - Related Parties (Note 34.1)		33,822,081	99,000,198
Non Trade Payables - Related Parties (Note 34.2)		3,365,700	2,969,904
Trade Payables - Other Parties		221,148,908	175,887,347
Lease Liability (Note 29.2)		80,532,978	-
Accrued Expenses		381,193,803	278,036,986
		<u>720,063,470</u>	<u>555,894,435</u>
34.1 Trade Payables to Related Parties	Relationship		
Abans PLC	Parent Company	612,029	1,272,170
Abans Auto (Pvt)Ltd	Affiliate Company	33,210,052	97,728,028
		<u>33,822,081</u>	<u>99,000,198</u>
34.2 Non Trade Payables to Related Parties			
Abans PLC	Parent Company	242,612	464,735
Abans Retail (Pvt) Ltd	Affiliate Company	129,600	192,858
Abans Graphics (Pvt) Ltd	Affiliate Company	681,448	368,000
Abans Environmental Services	Affiliate Company	235,581	266,760
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate Company	646,552	660,000
AB Securitas (Pvt) Ltd	Affiliate Company	1,187,344	878,152
AB Logistics (Pvt) Ltd	Affiliate Company	-	835
ABS Courier (Pvt) Ltd	Affiliate Company	242,563	138,564
		<u>3,365,700</u>	<u>2,969,904</u>
35. OTHER NON FINANCIAL LIABILITIES		2020 Rs.	2019 Rs.
VAT on Financial Services		22,350,083	8,576,044
VAT Payable		51,581	120,937
Others		1,389,562	10,044,968
		<u>23,791,226</u>	<u>18,741,949</u>
36. RETIREMENT BENEFIT OBLIGATIONS		2020 Rs.	2019 Rs.
Retirement Benefit Obligations - Gratuity			
Balance at the beginning of the year		17,471,181	18,912,720
Current Service Cost		3,567,894	3,313,698
Payments made during the year		(3,760,975)	(3,367,710)
Interest Charged/(Reversed) for the year		1,921,830	1,929,097
(Gain)/loss arising from changes in the assumption		235,217	(3,316,624)
Balance at the end of the year		<u>19,435,147</u>	<u>17,471,181</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

36. RETIREMENT BENEFIT OBLIGATIONS (Contd...)		2020 Rs.	2019 Rs.
36.1 Expenses on Defined Benefit Plan			
Current Service Cost for the year		3,567,894	3,313,698
Interest Charge for the year		1,921,830	1,929,097
		<u>5,489,724</u>	<u>5,242,795</u>
Amount Recognized in the Other Comprehensive Income			
(Gain)/Loss arising from changes in the assumption (Note 36.2)		235,217	(3,316,624)
		<u>235,217</u>	<u>(3,316,624)</u>
36.2 (Gain) / Loss arising from the changes in the assumption			
Due to change in Demographic Assumptions		-	(18,776)
Due to change in Financial Assumptions		985,588	(3,480,030)
Experience Adjustment		(750,371)	182,182
		<u>235,217</u>	<u>(3,316,624)</u>
36.3 Actuarial valuation of Retiring Gratuity Obligation as at 31 March 2020 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'.			
35.4 Assumptions		2020	2019
Discount Rate		9.59%	11.00%
Salary Increment Rate		5.00%	5.00%
Staff Turnover		17.00%	17.00%
Retirement Age		60 Years	60 Years

Assumptions regarding future mortality are based on 67/70 Mortality Table and issued by the Institute of Actuaries, London.

36.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

		2020		2019	
Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation
1%		890,519	(890,519)	722,455	(722,455)
-1%		(981,361)	981,361	(791,299)	791,299
	1%	(1,109,883)	1,109,883	(916,430)	916,430
	-1%	(1,020,867)	1,020,867	847,624	(847,624)

36.6 Maturity Profile of the Defined Benefit Obligation Plan

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

	2020 Years	2019 Years
Weighted Average Duration of the Defined Benefit Obligation	5.25	4.78
Average Time to Benefit Payout	5.45	5.52

36. RETIREMENT BENEFIT OBLIGATIONS (Contd...)**36.7 Distribution of Defined Benefit Obligation Over Future Lifetime**

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

	2020	2019
	Rs.	Rs.
Less than 1 year	3,308,404	3,317,443
Between 1-5 years	8,481,217	7,896,191
Between 5-10years	4,728,758	4,094,776
Over 10 years	2,916,768	2,162,771
	<u>19,435,147</u>	<u>17,471,181</u>

37. STATED CAPITAL

	2020		2019	
37.1 Issued and Fully Paid-Ordinary shares	No. of Shares	Rs.	No. of Shares	Rs.
As at 31 March	66,561,573	1,121,412,955	66,561,573	1,121,412,955
	<u>66,561,573</u>	<u>1,121,412,955</u>	<u>66,561,573</u>	<u>1,121,412,955</u>

37.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

38. RETAINED EARNINGS AND OTHER RESERVES

38.1 Retained Earnings	2020	2019
	Rs.	Rs.
As at 01 April	299,663,476	337,975,406
Impact of adopting SLFRS 09 as at 01 April 2018	-	(59,676,957)
Restated Balance under SLFRS 09 as at 01 April 2018	<u>299,663,476</u>	<u>278,298,449</u>
Dividend Paid	-	-
Profit /(Loss) for the Year	103,427,094	23,721,323
Other Comprehensive Income net of tax	(169,356)	2,387,969
Transfers to Statutory Reserve Fund	(20,685,418)	(4,744,265)
As at 31 March	<u>382,235,796</u>	<u>299,663,476</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

38.2 Other Reserves

	Statutory Reserve	Total
	Rs.	Rs.
As at 01 April 2019	112,983,832	112,983,832
Transfers to/(from) during the year	20,685,418	20,685,418
As at 31 March 2020	<u>133,669,250</u>	<u>133,669,250</u>

38.2.1 Statutory Reserve Fund

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

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39. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

39.1 As at 31 March 2020	Amortised Cost	Equity Instruments - FVOCI	Total
	Rs.	Rs.	Rs.
Assets			
Cash and Bank Balances	146,941,688	-	146,941,688
Placement With Banks	204,354,154	-	204,354,154
Repurchase Agreements	279,143,141	-	279,143,141
Loans and Advances	1,920,095,538	-	1,920,095,538
Lease rentals receivable & Stock out on Hire	5,854,327,613	-	5,854,327,613
Equity instruments at fair value through OCI	-	80,400	80,400
Debt Instruments at Amortised Cost	225,421,143	-	225,421,143
Other Financial Assets	96,487,549	-	96,487,549
Total Financial Assets	8,726,770,826	80,400	8,726,851,226
Liabilities			
Due to Banks	809,672,688	-	809,672,688
Due to Customers	5,148,142,044	-	5,148,142,044
Other Borrowed Funds	649,837,356	-	649,837,356
Other Financial Liabilities	720,063,470	-	720,063,470
Total Financial Liabilities	7,327,715,558	-	7,327,715,558

39.2 As at 31 March 2019

	Amortised Cost	Equity Instruments - FVOCI	Total
	Rs.	Rs.	Rs.
Assets			
Cash and Bank Balances	263,517,684	-	263,517,684
Placement With Banks	249,659,017	-	249,659,017
Repurchase Agreements	281,537,224	-	281,537,224
Loans and Advances	2,127,780,588	-	2,127,780,588
Lease rentals receivable & Stock out on Hire	5,261,624,352	-	5,261,624,352
Equity instruments at fair value through OCI	-	80,400	80,400
Debt Instruments at Amortised Cost	235,914,339	-	235,914,339
Other Financial Assets	171,436,746	-	171,436,746
Total Financial Assets	8,591,469,950	80,400	8,591,550,350
Liabilities			Total Rs.
Due to Banks	511,760,291	-	511,760,291
Due to Customers	5,792,966,524	-	5,792,966,524
Other Borrowed Funds	420,593,845	-	420,593,845
Other Financial Liabilities	555,894,435	-	555,894,435
Total Financial Liabilities	7,281,215,095	-	7,281,215,095

HFT - Held for Trading

HTM - Held-to-Maturity

L & R - Loans and Receivables

OFL - Other Financial Liabilities

40. FAIR VALUE OF FINANCIAL INSTRUMENTS**Financial Instruments Recorded at Fair Value**

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

40.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1 :Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observable inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

As at 31 March 2020	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted Equities	-	-	-	-
Financial Investments - Available for Sale				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets	<u>-</u>	<u>-</u>	<u>80,400</u>	<u>80,400</u>
As at 31 March 2019	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted Equities	-	-	-	-
Financial Investments - Available for Sale				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets	<u>-</u>	<u>-</u>	<u>80,400</u>	<u>80,400</u>

There were no financial liabilities recorded at fair value as at 31 March 2019 & 2020

There were no transfers between Level 1 and Level 2 during 2019 & 2020.

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Year ended 31 March 2020

40. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)**40.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value**

Set out below is the comparison, by class, of the carrying amounts of Fair Values of the Company's Financial Instruments that are not carried at Fair Value in the Financial Statements. This table does not include the Fair Values of Non-Financial Assets and Non-Financial Liabilities. The reported fair values below may differ, due to Covid-19 related events.

	Carrying Amount Rs.	2020 Fair Value				Carrying Amount Rs.	2019 Fair Value			
		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.
Financial Assets										
Loans and Advances	1,920,095,538	-	1,806,713,994	-	1,806,713,994	2,127,780,588	-	1,761,035,935	-	1,761,035,935
Lease rentals receivable & Stock out on Hire	5,854,327,613	-	5,686,854,987	-	5,686,854,987	5,261,624,352	-	4,093,652,845	-	4,093,652,845
Debt instruments at amortised cost	225,421,143	-	224,927,166	-	224,927,166	235,914,339	-	235,429,807	-	235,429,807
	<u>7,999,844,294</u>	<u>-</u>	<u>7,718,496,147</u>	<u>-</u>	<u>7,718,496,147</u>	<u>7,625,319,279</u>	<u>-</u>	<u>6,090,118,587</u>	<u>-</u>	<u>6,090,118,587</u>
Financial Liabilities										
Due to Customers	5,148,142,044	-	5,382,270,533	-	5,382,270,533	5,792,966,524	-	6,001,318,650	-	6,001,318,650
	<u>5,148,142,044</u>	<u>-</u>	<u>5,382,270,533</u>	<u>-</u>	<u>5,382,270,533</u>	<u>5,792,966,524</u>	<u>-</u>	<u>6,001,318,650</u>	<u>-</u>	<u>6,001,318,650</u>

The following describes the methodologies and assumptions used to determine the Fair Values for those Financial Assets & Liabilities which are not already recorded at fair value in the Financial Statements.

Fixed Rate Financial Instruments

Carrying amounts are considered as Fair Values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

Assets & Liabilities for which Fair Value Approximates Carrying Value

The Following is a list of Financial Investments whose carrying amount is a reasonable approximation of Fair Value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

Assets

Cash and Bank Balances
Placement With Banks
Repurchase Agreements
Other Financial Assets

Liabilities

Due to Banks
Due to Customers
Other borrowed funds
Other Financial Liabilities

Reclassification of Financial Assets

There have been no reclassifications during 2019 & 2020.

41. RISK MANAGEMENT DISCLOSURES**41.1 Introduction**

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

41.2 Risk Management Structure

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 3 of 2008 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee consists of 2 Directors; Managing Director and one Non Executive Director. Chief Executive Officer, Chief Financial Officer / Chief Accountant, Head of Sales, Head of Credit & Recoveries, Head of Branch Marketing, Manager – Risk & Compliance and Manager - IT were also co-opted to the Committee.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

The outbreak of COVID 19 has caused disruptions to business and economic activities, and uncertainty to the global and local economy. The subsequent adverse economic effects have caused financial stress among our customers which may lead to elevated levels of credit risk in the short term. The Company's Risk Management Framework strives to manage the outcomes of such adverse economic and market conditions proactively, whilst achieving the risk-return objectives of the Company.

41.3 Risk measurement & Reporting System and Risk Mitigation

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.4 Credit Risk**

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

41.4.1 Impairment Assessment

The methodology of the impairment assessment has explained in Note 4.1.10 under Accounting policies. The references below should be read in conjunction with those Accounting policies.

The Impact on COVID 19- Impairment of Financial Assets - Expected Credit Loss calculation

The Company considered the Probability of Default (PD), Loss Given Default (LGD) and Economic Factor Adjustment (EFA) computed as at February 29, 2020, in order to estimate the Expected Credit Loss (ECL) as at March 31, 2020, due to uncertainty and lack of sufficient information to make any adjustments to capture the potential impact of COVID 19 based on the "COVID - 19 Pandemic: Guidance Notes on the Implications on Financial Reporting" issued by the institute of chartered accountants of Sri Lanka has provided reporting guidelines

41.4.1 (a) Definition of default and cure

The Company considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. The Company considers treasury and interbank balances defaulted and takes immediate action when the required intra day payments are not settled by the close of business as outlined in the individual agreements.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- * Internal assessment of the borrower indicating default or near-default
- * The borrower requesting emergency funding from the Company
- * The borrower having past due liabilities to public creditors or employees
- * The borrower is deceased
- * A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral
- * A material decrease in the borrower's turnover or the loss of a major customer
- * A covenant breach not waived by the Company
- * The debtor (or any legal entity within the debtor's group) filing for bankruptcy application/protection
- * Debtor's listed debt or equity suspended at the primary exchange because of rumours or facts about financial difficulties

It is the Company's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

41.4.1 (b) Significant increase in credit risk

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition.

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Year ended 31 March 2020

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.4 CREDIT RISK (Contd...)****41.4.1 (c) Assessment of Expected Credit Losses****41.4.1(c) Analysis of the total allowance for expected credit losses is as follows.**

2020				
Stage 01	Stage 02	Stage 03	Total	
Rs.	Rs.	Rs.	Rs.	
Cash and Bank Balances	(28,045)	-	-	(28,045)
Placement With Banks	(7,675)	-	-	(7,675)
Loans and Advances	(4,123,672)	15,249,836	80,515,257	91,641,421
Lease Rentals Receivable & Stock Out on Hire	(2,180,102)	(3,161,368)	77,298,132	71,956,662
Other Debtors	-	-	169,691,444	169,691,444
Total Allowance for Expected Credit Losses	<u>(6,339,493)</u>	<u>12,088,467</u>	<u>327,504,833</u>	<u>333,253,807</u>

2019				
Stage 01	Stage 02	Stage 03	Total	
Rs.	Rs.	Rs.	Rs.	
Cash and Bank Balances	(173,433)	-	-	(173,433)
Placement With Banks	(49,676)	-	-	(49,676)
Loans and Advances	(42,553,463)	640,634	56,460,110	14,547,281
Lease Rentals Receivable & Stock Out on Hire	(2,538,295)	41,573,872	164,864,766	203,900,344
Other Debtors	-	-	83,756,458	83,756,458
Total Allowance for Expected Credit Losses	<u>(45,314,867)</u>	<u>42,214,506</u>	<u>305,081,334</u>	<u>301,980,973</u>

The methodology used in the determination of expected credit losses is explained in Note 4.1.10 to Financial Statements.

41.4.1(d) Movement of the total allowance for expected credit losses during the period

	2020	2019
	Rs.	Rs.
Balance as at 01 April	841,963,320	594,174,012
Charge/(Reversal) to Income Statement (Note 10)	333,253,807	301,980,973
Write- off during the year	<u>(177,123,586)</u>	<u>(54,191,665)</u>
Balance as at 31 March	<u>998,093,541</u>	<u>841,963,320</u>

41.4.1(e) Sensitivity Analysis : Impact of increase/(Decrease) of loss rate by 1% on collective allowance for expected credit losses

If the loss rates used by the Company in determining collective impairment has increased / decreased by 1%, ECL provision of the company as at 31 March 2020 would have increased / decreased by Rs. 76,948,224.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.1(f) Loans past due but not impaired

A loan is considered past due when a counterparty has not made a payment by the contractual due date. The following table presents the carrying value of loans that are contractually past due but not classified as impaired because they are less than 90 days past due. Loans past due 30 days or less are not presented in this analysis as they are not administratively considered past due.

As at 31 March 2020

	2020		
	31-60 Days	61-90 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	179,987,804	66,306,415	246,294,219
Lease Rentals Receivable & Stock Out on Hire	725,477,181	384,599,372	1,110,076,553
Other Debtors	-	-	-
	<u>905,464,985</u>	<u>450,905,787</u>	<u>1,356,370,772</u>

As at 31 March 2019

	2019		
	31-60 Days	61-90 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	140,513,036	75,322,218	215,835,254
Lease Rentals Receivable & Stock Out on Hire	816,191,944	374,612,617	1,190,804,561
Other Debtors	-	-	-
	<u>956,704,980</u>	<u>449,934,835</u>	<u>1,406,639,815</u>

41.4.1(g) Overview of rescheduled loans and advances (except individually impaired loans and advances)

As at 31 March 2020	2020				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	35,828,080	35,828,080	5,755,010	5,755,010	30,073,071
Lease Rentals Receivable & Stock Out on Hire	32,862,378	32,862,378	6,092,996	6,092,996	26,769,382
	<u>68,690,458</u>	<u>68,690,458</u>	<u>11,848,006</u>	<u>11,848,006</u>	<u>56,842,453</u>
As at 31 March 2019	2019				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	35,353,128	35,353,128	5,618,609	5,618,609	29,734,519
Lease Rentals Receivable & Stock Out on Hire	45,494,840	45,494,840	11,085,654	11,085,654	34,409,186
	<u>80,847,968</u>	<u>80,847,968</u>	<u>16,704,263</u>	<u>16,704,263</u>	<u>64,143,705</u>

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Year ended 31 March 2020

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.2 Maximum Exposure to Credit risk

The following table shows the maximum exposure to credit risk by class of Financial Asset and the value of Financial Assets covered by the collateral.

Type of Collateral	Maximum Exposure to Credit Risk	Fair Value of Collateral Held				Total Collateral Value	Net Exposure to Credit Risk
As at 31 March 2020	Rs.	Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.	Rs.	Rs.
Cash and Bank Balances (Excluding cash in hand)	108,001,550	-	-	-	-	-	108,001,550
Placement With Banks	204,354,154	-	-	-	-	-	204,354,154
Repurchase Agreements	279,143,141	-	-	-	-	-	279,143,141
Loans and Advances	1,920,095,538	136,689,665	276,716,384	104,626,721	2,647,669	520,680,440	1,399,415,098
Lease rentals receivable & Stock out on hire	5,854,327,613	-	-	516,482,523	-	516,482,523	5,337,845,090
Equity instruments at fair value through OCI	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	225,421,143	-	-	-	-	-	225,421,143
Other Financial assets	96,487,549	-	-	-	-	-	96,487,549
	8,687,911,088	136,689,665	276,716,384	621,109,244	2,647,669	1,037,162,963	7,650,748,125

Type of Collateral	Maximum Exposure to Credit Risk	Fair Value of Collateral Held				Total Collateral Value	Net Exposure to Credit Risk
As at 31 March 2019	Rs.	Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.	Rs.	Rs.
Cash and Bank Balances (Excluding cash in hand)	123,107,727	-	-	-	-	-	123,107,727
Placement With Banks	249,659,017	-	-	-	-	-	249,659,017
Repurchase Agreements	281,537,224	-	-	-	-	-	281,537,224
Loans and Advances	2,127,780,588	138,273,009	375,200,576	8,806,097	2,647,668	524,927,350	1,602,853,238
Lease rentals receivable & Stock out on hire	5,261,624,352	-	-	528,711,876	-	528,711,876	4,732,912,476
Equity instruments at fair value through OCI	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	235,914,339	-	-	-	-	-	235,914,339
Other Financial assets	171,436,746	-	-	-	-	-	171,436,746
	8,451,140,393	138,273,009	375,200,576	537,517,973	2,647,668	1,053,639,226	7,397,501,167

* Movable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

** Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans).

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Year ended 31 March 2020

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.3 Credit Quality by Class of Financial Assets

The amounts presented are gross of Impairment allowances.

As at 31 March 2020	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	146,941,688	-	-	146,941,688
Placement With Banks	204,354,154	-	-	204,354,154
Repurchase Agreements	279,143,141	-	-	279,143,141
Loans and Advances	551,440,655	1,190,012,327	482,337,780	2,223,790,762
Lease Rentals Receivable & Stock Out on Hire	1,361,877,949	4,782,171,544	364,223,078	6,508,272,571
Equity instruments at fair value through OCI	80,400	-	-	80,400
Debt instruments at amortised cost	225,421,143	-	-	225,421,143
Other Financial Assets	54,640,147	40,387,914	-	95,028,061
Total	2,823,899,277	6,012,571,785	846,560,858	9,683,031,920

As at 31 March 2019	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	263,517,684	-	-	263,517,684
Placement With Banks	249,659,017	-	-	249,659,017
Repurchase Agreements	281,537,224	-	-	281,537,224
Loans and Advances	685,019,500	859,112,605	795,702,286	2,339,834,391
Lease Rentals Receivable & Stock Out on Hire	2,127,771,473	3,376,845,603	338,995,572	5,843,612,648
Equity instruments at fair value through OCI	80,400	-	-	80,400
Debt instruments at amortised cost	235,914,339	-	-	235,914,339
Other Financial Assets	131,915,742	47,820,057	-	179,735,799
Total	3,975,415,379	4,283,778,265	1,134,697,858	9,393,891,502

41.4.3.1 Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of Financial Assets as at the end of the relevant financial period.

As at 31 March 2020	Past Due but Not Individually Impaired				
	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	636,962,234	109,327,022	50,035,019	393,688,051	1,190,012,327
Lease Rentals Receivable & Stock Out on Hire	2,307,528,461	882,016,617	404,598,595	1,188,027,871	4,782,171,544
Other Financial Assets				40,387,914	40,387,914
	<u>2,944,490,695</u>	<u>991,343,639</u>	<u>454,633,614</u>	<u>1,622,103,836</u>	<u>6,012,571,785</u>

Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

As at 31 March 2019	Past Due but Not Individually Impaired				
	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	284,453,269	140,513,036	75,322,218	358,824,081	859,112,604
Lease Rentals Receivable & Stock Out on Hire	1,074,622,355	816,191,944	374,522,008	1,111,479,296	3,376,815,603
Other Financial Assets	-	-	-	47,820,057	47,820,057
	<u>1,359,075,624</u>	<u>956,704,980</u>	<u>449,844,226</u>	<u>1,518,123,434</u>	<u>4,283,748,264</u>

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.4 Analysis of Risk Concentration

The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2020

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Equity instruments at fair value through OCI	Debt instruments at amortised cost	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	106,540,450	46,653,089	-	-	-	153,193,539
Manufacturing	-	-	-	30,887,464	12,309,770	-	-	-	43,197,234
Construction	-	-	-	89,615,649	25,442,497	-	-	-	115,058,146
Financial Services	146,941,688	204,354,154	-	53,630,449	1,113,010	80,400	-	-	406,119,702
Trading	-	-	-	74,469,861	39,292,485	-	-	-	113,762,346
Government	-	-	279,143,141	-	-	-	225,421,143	-	504,564,284
Hotels	-	-	-	15,964,163	6,136,758	-	-	-	22,100,921
Services	-	-	-	1,363,022,574	4,392,439,054	-	-	-	5,755,461,628
Others	-	-	-	185,964,928	1,330,940,949	-	-	96,487,549	1,613,393,425
Total	146,941,688	204,354,154	279,143,141	1,920,095,538	5,854,327,613	80,400	225,421,143	96,487,549	8,726,851,225

As at 31 March 2019

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Financial Investments - Available for Sale	Financial Investments - Held to Maturity	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	83,690,471	52,310,207	-	-	-	136,000,678
Manufacturing	-	-	-	36,293,040	12,384,008	-	-	-	48,677,049
Construction	-	-	-	93,035,060	25,586,617	-	-	-	118,621,677
Financial Services	263,517,684	249,659,017	-	137,531,055	1,487,973	80,400	-	-	652,276,129
Trading	-	-	-	57,631,873	45,968,950	-	-	-	103,600,823
Government	-	-	281,537,224	-	-	-	235,914,339	-	517,451,563
Hotels	-	-	-	20,732,381	3,780,199	-	-	-	24,512,580
Services	-	-	-	588,996,556	4,829,080,442	-	-	-	5,418,076,997
Others	-	-	-	1,109,870,152	291,025,956	-	-	171,436,746	1,572,332,854
Total	263,517,684	249,659,017	281,537,224	2,127,780,588	5,261,624,352	80,400	235,914,339	171,436,746	8,591,550,350

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.5 Interest Rate Risk**

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

ALCO closely scrutinizing the probable impact on Net interest impact resulting from interest rate related relief measures announced by CBSL to the Covid-19 affected the Company. Management is in the process of finalizing the Impact of the same.

41.5.1 Interest Rate Sensitivity

41.5.1.1 The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Company's Profit or Loss and Equity.

Borrowings/ Advance	Increase (Decrease) in basis points	Rs. Million	
		Sensitivity of Profit or Loss	Sensitivity of Equity
Long Term Loans linked to AWPLR -LKR	2020	2020	2020
	+100/ (-100)	(3.19) / 3.19	(5.48) /5.48
	2019	2019	2019
	+100/ (-100)	(2.30) / 2.30	(4.76) /4.76

The base ratio considered in the Interest Rate Sensitivity Analysis is the AWPLR. Since 44% of total borrowings (excluding Due to Customers) are linked to AWPLR, the above sensitivity ratio indicates the impact on Profit or Loss and Equity.

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41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.5 INTEREST RATE RISK (Contd...)

41.5.2 Interest Rate Risk

Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	31 March 2020
ASSETS							Rs.
Cash and Bank Balances	54,748,265	-	-	-	-	92,193,422	146,941,688
Placement with Banks	189,441,476	14,912,679	-	-	-	-	204,354,154
Securities Purchased under Repurchase Agreement	279,143,141	-	-	-	-	-	279,143,141
Loans and Advances	750,478,036	396,880,097	575,856,562	168,000,405	28,880,437	-	1,920,095,538
Lease Rentals Receivable & Stock out on Hire	1,685,787,605	1,871,549,452	2,070,514,243	226,476,312	-	-	5,854,327,613
Equity instruments at fair value through OCI	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	203,891,319	7,834,015	13,695,809	-	-	-	225,421,143
Other Financial Assets	-	-	-	-	-	96,487,549	96,487,549
TOTAL ASSETS	3,163,489,842	2,291,176,243	2,660,066,614	394,476,717	28,960,837	188,680,971	8,726,851,226
LIABILITIES							
Due to Banks	428,049,186	153,500,000	228,123,502	-	-	-	809,672,688
Due to Customers	1,383,368,734	2,866,142,159	813,011,876	85,619,275	-	-	5,148,142,044
Other Borrowed Funds	-	305,400,690	264,636,666	79,800,000	-	-	649,837,356
Other Financial Liabilities	-	-	-	-	-	720,063,470	720,063,470
TOTAL LIABILITIES	1,811,417,920	3,325,042,849	1,305,772,044	165,419,275	-	720,063,470	7,327,715,558
TOTAL INTEREST SENSITIVITY GAP	1,352,071,922	(1,033,866,606)	1,354,294,570	229,057,443	28,960,837	(531,382,499)	1,399,135,668

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.5 INTEREST RATE RISK (Contd...)****41.5.2.1 Interest Rate Risk****Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The Company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
ASSETS							
Cash and Bank Balances	97,333,791	-	-	-	-	166,183,893	263,517,684
Placement with Banks	234,766,360	14,892,657	-	-	-	-	249,659,017
Securities Purchased under Repurchase Agreement	281,537,224	-	-	-	-	-	281,537,224
Loans and Advances	773,451,241	590,042,448	569,360,490	185,163,332	9,763,077	-	2,127,780,588
Lease Rentals Receivable & Stock out on Hire	1,313,759,464	1,769,225,928	1,379,654,550	797,269,199	1,715,212	-	5,261,624,352
Equity instruments at fair value through OCI	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	215,455,123	-	20,459,216	-	-	-	235,914,339
Other Financial Assets	-	-	-	-	-	171,436,746	171,436,746
TOTAL ASSETS	2,916,303,204	2,374,161,033	1,969,474,255	982,432,531	11,558,689	337,620,638	8,591,550,350
LIABILITIES							
Due to Banks	185,437,118	123,238,889	172,400,000	30,684,285	-	-	511,760,291
Due to Customers	1,566,713,128	3,127,154,824	936,756,031	162,342,541	-	-	5,792,966,524
Other Borrowed Funds	-	-	230,277,717	190,316,128	-	-	420,593,845
Other Financial Liabilities	-	-	-	-	-	555,894,435	555,894,435
TOTAL LIABILITIES	1,752,150,246	3,250,393,713	1,339,433,748	383,342,954	-	555,894,435	7,281,215,095
TOTAL INTEREST SENSITIVITY GAP	1,164,152,958	(876,232,680)	630,040,507	599,089,577	11,558,689	(218,273,796)	1,310,335,254

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.6 Liquidity Risk**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

Management of the Company maintaining a stable liquidity position even during this challenging period due to COVID 19 outbreak and closely monitoring the position on daily basis and taking necessary measures to ensure the safeguard of the entity. The company introduced more rigour to the processes already in place to manage its liquid assets including cost saving measures. These actions taken will help to maintain suitable liquidity position while ensuring the interest of company's stakeholders despite of disruptive effect on liquidity that may arise due to the continuously evolving nature of the pandemic.

41.6.1 Statutory Liquid Asset Ratio

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier –II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The Company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

	Statutory Liquid Asset Ratio	
	2020	2019
Maximum	21.06%	25.52%
Minimum	13.19%	17.16%
Average	16.62%	20.63%
Closing	14.37%	17.92%

41.6.2 Advances to Deposits ratio

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

	Advances to Deposits Ratio	
	2020	2019
Maximum	151.01%	126.97%
Minimum	127.17%	104.39%
Average	133.62%	114.43%
Closing	151.01%	126.97%

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities**

41.6.3.1 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of relevant financial period. The estimated maturity profiles of undiscounted cash flows may also differ, due to Covid-19 related events.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2020 Rs.
Cash and Bank Balances	146,941,688	-	-	-	-	-	146,941,688
Placement With Banks	11,939,501	179,621,744	15,028,904	-	-	-	206,590,149
Securities Purchased under Repurchase Agreement	-	279,821,007	-	-	-	-	279,821,007
Loans and Advances	589,390,992	230,010,607	533,224,036	861,816,513	276,604,018	31,881,142	2,522,927,308
Lease rentals receivable & Stock out on Hire	982,632,285	926,603,036	2,432,739,595	2,964,543,184	368,723,960	-	7,675,242,060
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	205,166,901	8,000,000	13,605,500	-	-	226,772,401
Other Financial Assets	58,840,198	18,198,262	4,516,699	11,771,588	3,160,802	-	96,487,549
Total Financial Assets	1,789,744,664	1,839,421,557	2,993,509,234	3,851,736,785	648,488,780	31,961,542	11,154,862,562
LIABILITIES							
Due to Banks	274,356,762	170,558,313	191,976,426	277,455,885	-	-	914,347,386
Due to Customers	143,920,353	1,229,240,984	2,994,881,204	864,113,019	88,758,408	-	5,320,913,968
Other Borrowed Funds	309,298,783	360,825,233	21,217,395	-	-	-	691,341,411
Other Financial Liabilities	-	648,808,867	28,440,100	32,975,080	8,581,605	1,257,818	720,063,470
Total Financial Liabilities	727,575,898	2,409,433,397	3,236,515,125	1,174,543,984	97,340,013	1,257,818	7,646,666,236
	1,062,168,766	(570,011,840)	(243,005,891)	2,677,192,801	551,148,767	30,703,724	3,508,196,326

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities**

41.6.3.2 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of previous financial period.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2019 Rs.
Cash and Bank Balances	263,517,684	-	-	-	-	-	263,517,684
Placement With Banks	6,406,195	234,258,050	16,092,820	-	-	-	256,757,065
Securities Purchased under Repurchase Agreement	15,511,425	267,414,286	-	-	-	-	282,925,711
Loans and Advances	398,078,914	446,409,310	736,969,788	829,137,153	299,126,704	12,690,748	2,722,412,617
Lease rentals receivable & Stock out on Hire	672,084,051	849,266,488	2,309,113,847	1,939,093,123	1,249,929,681	2,903,192	7,022,390,382
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	219,592,455	-	21,605,500	-	-	241,197,955
Other Financial Assets	33,255,900	113,372,311	6,050,740	17,891,586	866,209	-	171,436,746
Total Financial Assets	1,388,854,169	2,130,312,900	3,068,227,195	2,807,727,362	1,549,922,594	15,674,340	10,960,718,560
LIABILITIES							
Due to Banks	128,421,459	71,198,640	154,204,445	202,235,410	32,239,013	-	588,298,967
Due to Customers	187,551,379	1,375,986,655	3,301,271,013	1,040,703,901	188,429,945	1,418,400	6,095,361,293
Other Borrowed Funds	-	-	243,653,846	237,692,308	-	-	481,346,154
Other Financial Liabilities		555,894,435					555,894,435
Total Financial Liabilities	315,972,838	2,003,079,730	3,699,129,304	1,480,631,619	220,668,958	1,418,400	7,720,900,849
	1,072,881,331	127,233,170	(630,902,109)	1,327,095,743	1,329,253,636	14,255,940	3,239,817,711

41.7 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

42. MATURITY ANALYSIS (CONTRACTUAL)

42.1 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the date of the Statement of Financial Position to the respective contractual maturity dates are given below. The estimated maturity profiles of may differ, due to Covid-19 related events.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2020 Rs.
Cash and Bank Balances	146,941,688	-	-	-	-	-	146,941,688
Placement With Banks	10,354,695	179,133,051	14,866,409	-	-	-	204,354,154
Securities Purchased under Repurchase Agreement	-	279,143,141	-	-	-	-	279,143,141
Loans and Advances	568,802,410	181,675,626	396,880,097	575,856,562	168,000,405	28,880,437	1,920,095,538
Lease rentals receivable & Stock out on Hire	959,139,007	726,648,598	1,871,549,452	2,070,514,243	226,476,312	-	5,854,327,613
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	203,891,319	7,834,015	13,695,809	-	-	225,421,143
Other Financial Assets	58,840,198	18,198,262	4,516,699	11,771,588	3,160,803	-	96,487,549
Real Estate Stock	-	-	-	39,313,213	-	-	39,313,213
Other Non Financial Assets	-	13,554,890	26,578,796	1,191,783	595,295	22,032,371	63,953,134
Property, Plant & Equipment	-	5,000,758	12,427,979	19,220,727	7,021,271	26,662,173	70,332,907
Intangible Assets	-	1,165,839	3,497,516	9,326,709	9,325,703	6,023,653	29,339,420
Right-of- use Assets	-	10,638,464	30,015,211	33,363,452	6,395,612	837,594	81,250,333
Deferred tax assets	-	-	-	45,073,647	-	-	45,073,647
Total Assets	1,744,077,998	1,619,049,948	2,368,166,174	2,819,327,733	420,975,401	84,516,628	9,056,113,880
LIABILITIES							
Due to Banks	274,356,762	153,692,424	153,500,000	228,123,502	-	-	809,672,688
Due to Customers	163,673,069	1,219,695,665	2,866,142,159	813,011,876	85,619,275	-	5,148,142,044
Other Borrowed Funds	-	305,400,690	264,636,666	79,800,000	-	-	649,837,356
Other Financial Liabilities	-	648,808,866	28,440,100	32,975,080	8,581,605	1,257,818	720,063,470
Other Non Financial Liabilities	-	23,791,226	-	-	-	-	23,791,226
Current Tax Liabilities	-	-	47,853,948	-	-	-	47,853,948
Retirement Benefit Liability	-	-	3,308,404	3,550,640	4,930,578	7,645,526	19,435,147
Total Liabilities	438,029,831	2,351,388,871	3,363,881,277	1,157,461,098	99,131,458	8,903,344	7,418,795,879

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

42. MATURITY ANALYSIS (CONTRACTUAL)

42.2 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the end of the previous financial period to the respective contractual maturity dates are given below

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2019 Rs.
Cash and Bank Balances	263,517,684	-	-	-	-	-	263,517,684
Placement With Banks	5,030,452	229,789,853	14,838,712	-	-	-	249,659,017
Securities Purchased under Repurchase Agreement	15,510,438	266,026,786	-	-	-	-	281,537,224
Loans and Advances	388,934,910	384,516,331	590,042,448	569,360,490	185,163,332	9,763,077	2,127,780,588
Lease rentals receivable & Stock out on Hire	655,330,820	658,428,645	1,769,225,928	1,379,654,550	797,269,199	1,715,212	5,261,624,352
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	215,455,123	-	20,459,216	-	-	235,914,339
Other Financial Assets	33,255,900	113,372,311	6,050,740	17,891,586	866,209	-	171,436,746
Real Estate Stock	-	-	-	50,793,213	-	-	50,793,213
Other Non Financial Assets	20,324	8,596,357	24,356,137	5,369,937	8,362,010	17,448,630	64,153,395
Tax Recoverable	-	-	-	-	-	-	-
Property, Plant & Equipment	-	-	-	-	-	85,287,696	85,287,696
Intangible Assets	-	-	-	-	-	32,758,835	32,758,835
Deferred tax assets	-	-	-	35,767,246	-	-	35,767,246
Total Assets	1,361,600,528	1,876,185,407	2,404,513,964	2,079,296,237	991,660,750	147,053,850	8,860,310,735
LIABILITIES							
Due to Banks	128,153,784	57,283,333	123,238,889	172,400,000	30,684,285	-	511,760,291
Due to Customers	191,544,371	1,375,168,757	3,127,154,824	936,756,031	162,342,541	-	5,792,966,524
Other Borrowed Funds	-	-	230,277,717	190,316,128	-	-	420,593,845
Other Financial Liabilities	-	555,894,435	-	-	-	-	555,894,435
Other Non Financial Liabilities	-	18,741,949	-	-	-	-	18,741,949
Current Tax Liabilities	-	-	8,822,247	-	-	-	8,822,247
Retirement Benefit Liability	-	-	3,317,443	3,600,550	4,295,641	6,257,547	17,471,181
Total Liabilities	319,698,155	2,007,088,474	3,492,811,120	1,303,072,709	197,322,467	6,257,547	7,326,250,472

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

43. COMMITMENTS AND CONTINGENCIES**43.1 Commitments**

As at 31 March 2020	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments- Company as lessee	-	-	-	-	-
	-	-	-	-	-
As at 31 March 2019	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments- Company as lessee	-	44,945,067	74,355,400	-	119,300,467
	-	44,945,067	74,355,400	-	119,300,467

There is no Operating Lease Commitments as at 31 March 2020 as all the Operating Leases has been reclassified in accordance with SLFRS 16

43.2 Contingent Liabilities

As per the notice of assessment issued by the Department of Inland Revenue, the Company has to make an additional tax payment for the years of assessment 2012/13, 2013/14, 2015/16 and 2017/18 amounting to Rs 18,260,106, Rs 55,865,256, Rs.62,239,705, and Rs 114,213,894 respectively. The company has already appealed in this regard.

The Department of Inland Revenue has issued the determination of appeal dated on 12 January 2018 & 25 June 2018 for the Y/A 2012/2013 and 2013/2014 respectively. The Company has made an appeal to the Tax Appeal Commission on the same.

43.3 Capital Commitments

The Company has no commitments for acquisition of Property, Plant & Equipment and Intangible assets incidental to the ordinary course of business.

44. CAPITAL

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

Abans Finance PLC is in compliance with the minimum core capital set out in terms of Section 2.1 of Finance Business Act Direction No. 02 of 2017 following the decision by CBSL to defer the requirement of Rs 2.0 Bn until 31.12.2020. As such, CBSL granted approval on 10.04.2020 for AFPLC to freely canvas deposits up to LKR 6.0 Bn and upon reaching that limit may apply to CBSL to canvas additional deposits.

45. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2020 Rs.	2019 Rs.	
Lease & Hire Purchase Receivables	Bank Overdraft	356,000,000	356,000,000	Lease Rental Receivables and Stock Out on Hire
Placement With Banks	Bank Overdraft	53,290,344	48,725,317	Placement With Banks
Lease & Hire Purchase Receivables	Term Loan	1,460,494,004	687,901,778	Lease Rental Receivables and Stock Out on Hire
		<u>1,869,784,348</u>	<u>1,092,627,095</u>	

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

46. EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date of the financial statements are authorised for issue.

There are no events occurring after the reporting date which require adjustments to or disclosure in the financial statements as at 31 March 2020.

47. RELATED PARTY TRANSACTIONS

The Company carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business on an arm's length basis at commercial rates with the parties who are defined as Sri Lanka Accounting Standard No.24 Related Party Disclosure, details of which are reported below. such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

Outstanding balances as at the year-end are unsecured, interest free, and due on demand. There have been no guarantees provided or received for any related party receivables or payables.

Details of related party transactions during the year are as follows:

47.1 The Parent

Abans PLC owns 49.67% (2019- 49.67%) shareholding of the Company.

47.2 The Ultimate Parent

Abans International (Pvt) Ltd is the ultimate parent of Abans Finance PLC.

47.3 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard-LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all of the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity). Such KMPs include the Board of Directors of the Company and Chief Executive Officer (CEO) and the KMPs of Abans PLC.

Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

Compensation to Key Management Personnel	2020 Rs.	2019 Rs.
Short Term Employee Benefits	18,781,427	21,541,183
Post-employment benefits	1,593,135	2,014,725
	<u>20,374,562</u>	<u>23,555,908</u>
Other transactions with Key Management Personnel	2020 Rs.	2019 Rs.
Fixed Deposits accepted during the year	11,350,000	18,115,000
Fixed Deposits held at the end of the year	520,302,897	434,983,158
Consultancy Fee paid during the year	3,155,500	2,742,720

In addition to the above, the Company has also provided non-cash benefits such as vehicle & fuel allowance to Key Management Personnel in line with the approved employment benefits of the Company.

Loans and Advances granted

No loans or advances were given to Key Managerial Personnel and their close family members during the year.(2018/2019- Nil).

47. RELATED PARTY TRANSACTIONS (Contd..)

47.4 Transactions with entities that are controlled, jointly controlled or significantly influenced by Key Management Personnel or their close member of family, or shareholders who have either control, significant influences or joint control over entity.

Nature of Transaction	Abans PLC Parent Company		Abans Auto (Pvt) Ltd Affiliate Company		Abans Tours (Pvt) Ltd Affiliate Company		Abans Transport (Pvt) Ltd Affiliate Company		Other Related Parties **		Total	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Fixed Deposits Accepted during the year	-	-	-	-	-	-	-	-	-	28,786,000	-	28,786,000
Fixed Deposits held at the end of the year	-	-	-	-	-	-	-	-	125,663,586	124,944,550	125,663,586	124,944,550
As at 1 April	16,831,696	11,243,480	(97,728,028)	(143,612,036)	-	28,413,929	6,807,875	18,084,697	(2,505,169)	(823,330)	(76,593,625)	(86,693,258)
Purchase of Motor Bikes - Lease Granting			(400,832,591)	(1,477,277,551)	-	-	-	-	-	-	(400,832,591)	(1,477,277,551)
Collections made on behalf of Abans Finance	1,041,197,941	1,309,547,875	-	-	-	-	-	-	-	-	1,041,197,941	1,309,547,875
Expense on collection commission	(7,822,702)	(14,385,553)	-	-	-	-	-	-	-	-	(7,822,702)	(14,385,553)
Support Services Expenses	-	-	-	-	-	-	-	-	(12,499,300)	(17,109,986)	(12,499,300)	(17,109,986)
Rent Income Recognized & Expense Recoveries	(1,126,700)	(2,102,397)	-	-	-	-	-	-	(772,457)	(771,429)	(1,899,156)	(2,873,826)
Rent Expense Paid	-	-	-	-	-	-	-	-	835,714	789,796	835,714	789,796
Settlements Paid/(Received)	(1,025,040,826)	(1,287,471,709)	465,350,566	1,523,161,560	-	-	-	-	11,818,124	15,409,781	(547,872,136)	251,099,631
Facilities Granted and Interest Accrued	-	-	-	-	-	-	739,894	1,135,570	-	-	739,894	1,135,570
Settlements received for the facilities	-	-	-	-	-	(28,413,929)	-	(12,412,392)	-	-	-	(40,826,322)
As at 31 March	24,039,410	16,831,696	(33,210,052)	(97,728,028)	-	-	7,547,769	6,807,875	(3,123,088)	(2,505,169)	(4,745,961)	(76,593,625)

Included in

	2020 Rs.	2019 Rs.
Loans and Advances	7,547,769	6,807,875
Lease Rentals Receivable & Stock Out on Hire	-	-
Other Financial Assets	24,894,050	18,568,601
Other Financial Liabilities	(37,187,780)	(101,970,102)
	(4,745,961)	(76,593,625)

**Other Related Parties include the following companies

Abans Graphics (Pvt) Ltd
 Abans Retail (Pvt) Ltd
 Abans Marketing (Pvt) Ltd
 Abans Electricals PLC (Service Department)
 Abans Office Automation (Pvt) Ltd
 AB Creation (Pvt) Ltd
 Add Outdoor Advertising (Pvt) Ltd
 ABS Gardiner Dixon Hall International (Pvt) Ltd
 Advantage Technologies (Pvt) Ltd
 Abans Environment Services (Pvt) Ltd
 AB Logistics (Pvt) Ltd
 AB Logistics (Pvt) Ltd
 ABS Courier (Pvt) Ltd
 Ironwood Investments Holdings (Pvt) Ltd

Other Related Parties are companies controlled / jointly controlled / significantly influenced by Key Management Personnel.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2020

48. FINANCIAL REPORTING BY SEGMENT

	Leasing		Hire purchase		Term Loans		Others		Total	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Interest Income	1,352,229,317	1,233,269,527	1,492,710	982,608	405,750,147	467,140,076	79,373,164	118,710,274	1,838,845,339	1,820,102,486
Fee Based Income & Others	174,155,250	135,477,967	1,089,661	679,182	7,072,885	8,572,254	2,250,446	290,993	184,568,242	145,020,397
Unallocated Income	-	-	-	-	-	-	14,461,942	13,426,008	14,461,942	13,426,008
Total Revenue	1,526,384,567	1,368,747,494	2,582,371	1,661,790	412,823,032	475,712,331	96,085,552	132,427,275	2,037,875,523	1,978,548,890
Interest Expenses	(580,167,027)	(511,061,545)	(2,363,308)	(2,311,930)	(212,128,538)	(240,193,896)	(82,073,169)	(106,758,701)	(876,732,041)	(860,326,072)
Fee Based Expenses & Others	(361,818)	(56,902,220)	-	-	(19,373)	(33,598)	(13,252,802)	(17,138,425)	(13,633,993)	(74,074,243)
Impairment Reversal / (Provision)	(71,702,129)	(202,914,210)	(254,534)	(986,134)	(91,641,421)	(14,547,281)	(169,655,724)	(83,533,349)	(333,253,807)	(301,980,973)
Net Operating Income	874,153,594	597,869,519	(35,470)	(1,636,274)	109,033,700	220,937,555	(168,896,143)	(75,003,199)	814,255,681	742,167,602
Unallocated Expenses									(660,306,829)	(631,288,049)
Profits/ (Loss) before Tax									153,948,852	110,879,554
Income Tax expenses									(50,521,758)	(87,158,230)
Net Profit/(Loss) for the period									103,427,094	23,721,323
Other Comprehensive Income									(169,356)	2,387,969
Total Comprehensive Income for the Year									103,257,738	26,109,292
Segment Assets	5,834,050,346	5,236,804,547	20,277,267	24,819,806	1,920,095,538	2,127,780,588	748,231,652	817,903,793	8,522,654,802	8,207,308,733
Unallocated Assets	-	-	-	-	-	-	-	-	533,459,078	653,002,001
Total Assets	5,834,050,346	5,236,804,547	20,277,267	24,819,806	1,920,095,538	2,127,780,588	748,231,652	817,903,793	9,056,113,880	8,860,310,735
Unallocated Liabilities									7,418,795,879	7,326,250,472
Total Liabilities									7,418,795,879	7,326,250,472

ABANS FINANCE PLC
KEY PERFORMANCE INDICATORS - AS PER CBSL REQUIREMENT
YEAR ENDED 31.03.2020

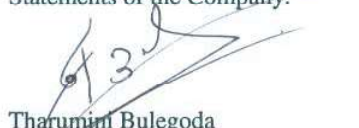
	2020	2019
Regulatory Capital Adequacy		
Core Capital (Tier 1 Capital) Rs.'000	1,562,905	1,465,534
Total Capital Base Rs.'000	2,252,794	2,161,828
Tier 1 Capital Ratio % (Minimum 6.5% w.e.f 01.07.2019)	14.30	13.94
Total Capital Ratio % (Minimum 10.5% w.e.f 01.07.2019)	20.61	20.56
Capital Funds to Total Deposit Liabilities Ratio (Minimum 10%)	31.80	26.48
Asset Quality (Quality of Loan Portfolio)_ As At		
Gross Non Performing Accommodations, Rs.'000 *	1,894,702	1,483,826
Gross Non Performing Accommodations, Ratio (%) *	21.59	18.02
Net-Non Performing Accommodations, Ratio (%) *	4.52	5.76
<i>* Computed as per the CBSL Guidelines</i>		
Profitability_Period Ended		
Interest Margin (%)	10.74	10.77
Return on Average Assets (%) (Before Tax)	1.72	1.24
Return on Average Equity (%) (After Tax)	6.51	1.53
Regulatory Liquidity (Rs. '000) _As at		
Required Minimum amount of Liquid Assets	516,672	581,246
Available amount of Liquid Assets	739,627	1,037,945
Required Minimum amount of Government Securities	454,839	454,839
Available amount of Government Securities	504,564	496,992
Memorandum Information _As at		
Number of Employees	375	386
No of Branches	10	10
No of Service Centers	13	13

Certification;

We, the undersigned, being the Acting Chief Executive Officer and the Chief Accountant of Abans Finance PLC Certify jointly that;

(a) the above statement have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka;

(b) the information contained in these statements have been extracted from the Audited Financial Statements of the Company.


Tharunim Bulegoda
(Sgd.) Chief Accountant


Ivon Brohier
(Sgd.) Acting CEO

26.06.2020